



## **INSURANCE AND PENSIONS COMMISSION (IPEC)**



### **SHORT TERM (NON-LIFE) INSURANCE REPORT**

**FOR THE QUARTER ENDED 31 MARCH 2019**

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## **DISCLAIMER**

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## LIST OF ACRONYMS AND ABBREVIATIONS

|                 |   |                                   |
|-----------------|---|-----------------------------------|
| DAC             | - | Deferred Acquisition Cost         |
| GPW             | - | Gross Premium Written             |
| IBNR            | - | Incurred But Not Reported         |
| IPEC/Commission | - | Insurance and Pensions Commission |
| NEP             | - | Net Earned Premium                |
| NPW             | - | Net Premium Written               |
| O/S Claims      | - | Outstanding Claims                |
| ROA             | - | Return on Assets                  |
| ROE             | - | Return on Equity                  |
| UCR             | - | Unearned Commission Reserve       |
| UPR             | - | Unearned Premium Reserve          |

**Note: Unless stated otherwise, all monetary figures are in RTGS dollars.**

## **EXECUTIVE SUMMARY**

Non-life insurers reported total Gross Premium Written (GPW) amounting to \$131.59 million for the quarter ended 31 March 2019 reflecting a 74.73% increase from \$75.31 million reported for the comparative period in 2018. This is mainly attributable to inflationary pressures owing to progressive efforts by government to introduce the monocurrency system.

In addition, a total of sixteen (16) out of eighteen insurers were compliant with the minimum capital level of \$2.5 million. The Commission shall engage non-compliant players to ensure that they submit recapitalisation roadmaps.

Total assets for non-life insurers grew from \$350.64 million as at 30 December 2018 to \$393.95 million as at 31 March 2019. The growth is attributable to upward revaluations in the value of asset. However, premium debtors remained one of the major contributors to the non-life insurance total assets.

Investments in prescribed assets for non-life insurers rose by 5.30% from \$21.09 million as at 30 December 2018 to \$22.21 million as at 31 March 2019. However sixteen (16) out of the eighteen (18) non-life insurers were not compliant with the minimum prescribed assets ratio of 10% as announced in the 2019 National Budget Statement by the Minister of Finance and Economic Development.

On the other hand, the volume of business written by non-life reinsurers rose by 83.45% from \$33.05 million reported as at 31 March 2018 to \$60.63 million for the quarter ending 31 March 2019 and this was attributed to the increase in the uptake of forex-denominated policies. Six (6) non-life reinsurers were not compliant with the minimum prescribed asset ratio of 10% as at 31 March 2019.

For the quarter ended 31 March 2019, Insurance brokers wrote \$53.65 million in premium income. This represented a 71.77% increase in business written by insurance brokers from \$31.23 million reported for the same period in 2018. Insurance brokers recorded \$7.52 million net brokerage commission since 1 January 2019. In comparison to the same period in 2018, this represented a 54.33% increase from \$4.87 million reported.

In the reinsurance brokering sector, players reported \$27.27 million in gross premium for the quarter ended 31 March 2019 reflecting an increase of 38.93% from the \$19.63 million reported for the same period in 2018. The average commission ratio for reinsurance brokers was 19.45% for the quarter ended 31 March 2019, which is a decrease from 24.69% reported in the same period in 2018.



## Architecture of the Non-Life Insurance Industry

There were seven-hundred and fifty-six (756) registered entities/persons in the non-life insurance industry as at 31 March 2019. The architecture of the industry is shown in Table 1 below.

**Table 1 : Architecture of the Non-Life Insurance Industry**

| Type of Institution              | Number of Registered Entities/Persons |            |            |             |
|----------------------------------|---------------------------------------|------------|------------|-------------|
|                                  | 31-Mar-18                             | 30-Sep-18  | 31-Dec-18  | 31-March-19 |
| Insurance Companies***           | 20                                    | 20         | 20         | 18          |
| Microinsurers                    | 2                                     | 2          | 2          | 2           |
| Reinsurance Companies*           | 8                                     | 8          | 8          | 8           |
| Underwriting Management Agencies | -                                     | 2          | 2          | 2           |
| Insurance Brokers                | 32                                    | 32         | 32         | 31          |
| Reinsurance Brokers              | 6                                     | 6          | 7          | 7           |
| Loss Assessors                   | 31                                    | 31         | 35         | 36          |
| Corporate Agents                 | 109                                   | 109        | 122        | 122         |
| Sole Agents                      | 369                                   | 369        | 447        | 530         |
| <b>Total</b>                     | <b>575</b>                            | <b>577</b> | <b>675</b> | <b>756</b>  |

\*Five reinsurers namely Emeritus Reinsurance Company, FBC Reinsurance Company, First Mutual Reinsurance Company, Grand Reinsurance Company and PTA Reinsurance Company (Zep-Re) are composite reinsurers who also write life business. However, the figures in this report pertain to their non-life business only.

\*\*Two insurers namely FBC Insurance Company and Alliance Insurance Company are composite insurers, however the figures in this report pertain to their non-life business only.

\*\*\*Tristar Insurance Company merged with Nicoz Diamond and THI was acquired by and Zimnat Lion.

## **SECTION A**

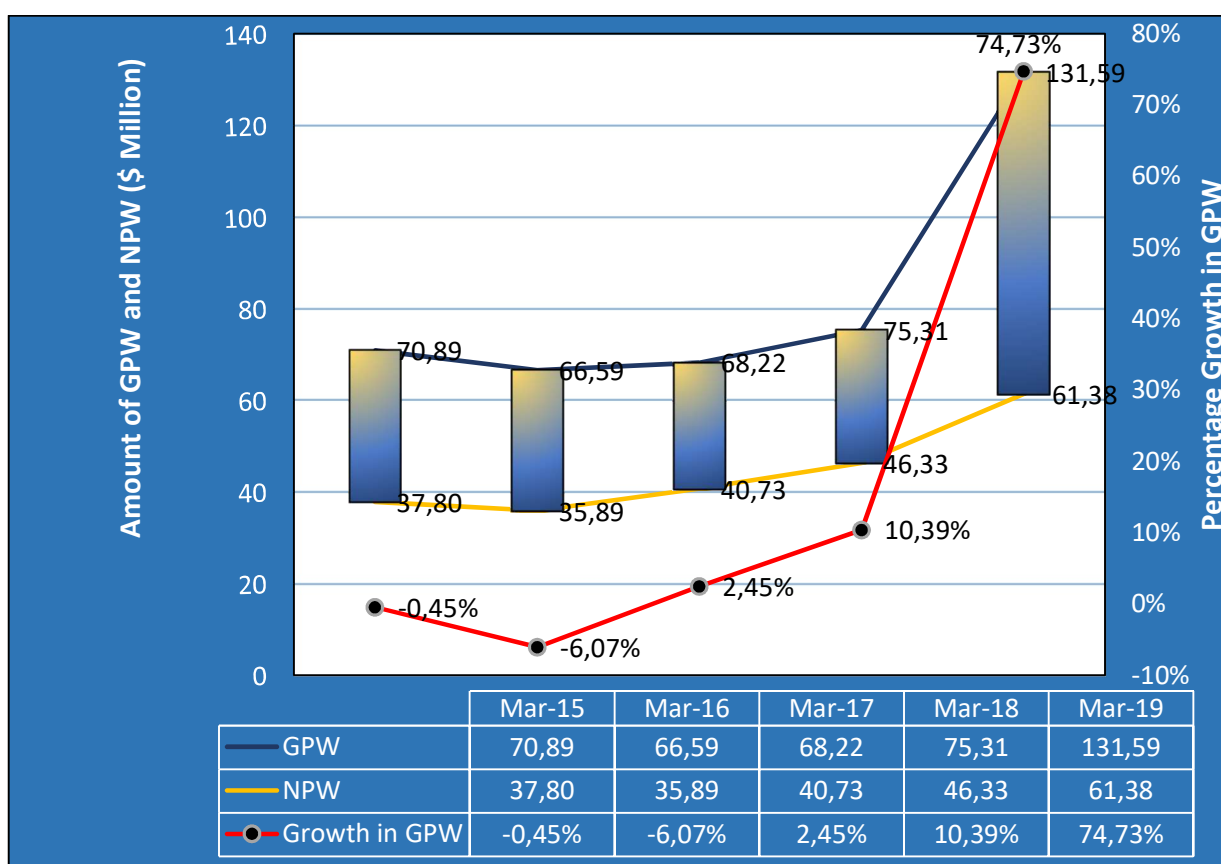
### **2. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES**

*Please note that the analysis of the performance of the non-life insurance sector does not include statistics for companies which were under suspension as at the reporting date. Please refer to Appendix 1A-C for detailed statistics for all the non-life insurers.*

## 2.1. Performance in Terms of Business Written

Total Gross Premium Written (GPW) by non-life insurers amounted to \$131.59 million for the quarter ended 31 March 2019 reflecting a 74.73% increase from \$75.31 million reported for the comparative period in 2018. Figure 1 below shows the trend in volume of the business generated quarterly by non-life insurers since March 2015.

**Figure 1 : Trend in written business since March 2015.**



## 2.2. Gross Premium Written by Class of Business

In terms of business distribution, motor and fire insurance remained the key classes of insurance business in our industry.

Table 2 below shows the percentage growth in gross premiums written per class of business for the quarter ended 31 March 2019 and the comparative period in 2018.

**Table 2 : Non-Life Insurers' Gross Premium Written by Class of Business**

| Class of Business      | Gross Premium Written (\$) |                    | Percentage Change |
|------------------------|----------------------------|--------------------|-------------------|
|                        | 31-Mar-18                  | 31-Mar-19          |                   |
| Aviation               | 670,479                    | 26,324             | -96.07%           |
| Bonds/Guarantee        | 4,757,514                  | 6,379,011          | 34.08%            |
| Engineering            | 5,151,060                  | 9,082,881          | 76.33%            |
| Farming                | 392,984                    | 1,143,700          | 191.03%           |
| Fire                   | 15,369,797                 | 32,319,005         | 110.28%           |
| Hail                   | 73,894                     | 86,453             | 17.00%            |
| Health                 | 7,034                      | -                  | -100.00%          |
| Hire Purchase          | 1,091,412                  | 2,006,662          | 83.86%            |
| Marine                 | 1,151,051                  | 2,499,419          | 117.14%           |
| Miscellaneous Accident | 5,190,473                  | 4,555,023          | -12.24%           |
| Motor                  | 32,920,130                 | 63,976,096         | 94.34%            |
| Personal Accident      | 6,508,528                  | 7,520,107          | 15.54%            |
| Liability              | 2,023,555                  | 1,991,705          | -1.57%            |
| <b>Total</b>           | <b>75,307,911</b>          | <b>131,586,386</b> | <b>74.73%</b>     |

The increase in gross premium written is attributable to business generated from motor insurance as well as fire insurance classes. The two classes of business remained the major sources of business as they accounted for \$96.30 million of the total GPW of \$131.59 million, translating to 73.18% of the total GPW for the quarter under review.

### 2.3. Capitalization

A total of sixteen (16) out of eighteen (18) insurers were compliant with the minimum capital level of \$2.5 million. The reported capital positions were computed without accounting for the dictates of Statutory Instrument 95 of 2018 which deals with non-admissible assets.

(See Appendix 1B for the composition of each insurer's asset base). The reported capital positions for non-life insurers are shown in table 3 below.

**Table 3 : Reported Capital Positions for Non-Life Insurers**

| Name of Insurance Company           | Reported Capital Position (\$) |            |            |            |
|-------------------------------------|--------------------------------|------------|------------|------------|
|                                     | 30-Jun-18                      | 30-Sep-18  | 31-Dec-18  | 31-Mar-19  |
| 1. Alliance Insurance Company       | 8,913,563                      | 8,868,841  | 8,853,684  | 8,496,390  |
| 2. Allied Insurance Company         | 2,068,750                      | 2,021,940  | 2,005,075  | 4,327,516  |
| 3. C.B.Z Insurance Company          | 7,799,908                      | 7,855,501  | 7,676,261  | 7,910,179  |
| 4. Cell Insurance Company           | 8,790,610                      | 9,265,096  | 6,739,024  | 16,336,382 |
| 5. Champions Insurance Company      | 4,404,903                      | 3,413,621  | 2,286,084  | 2,443,677  |
| 6. Clarion Insurance Company        | 2,116,809                      | 2,216,786  | 1,456,980  | 1,751,410  |
| 7. Credit Insurance Zimbabwe        | 4,213,554                      | 4,086,733  | 4,383,392  | 4,165,214  |
| 8. Econet Insurance Company         | -                              | 6,079,461  | 6,079,461  | 31,431,993 |
| 9. Evolution Insurance Company      | 4,821,781                      | 4,766,047  | 4,953,522  | 10,936,187 |
| 10. ECGC                            | 4,054,243                      | 13,867,844 | 14,234,779 | 15,229,820 |
| 11. FBC Insurance Company           | 7,154,607                      | 7,282,629  | 7,511,667  | 6,400,741  |
| 12. Hamilton Insurance Company      | 2,683,216                      | 4,656,244  | 4,650,389  | 5,040,304  |
| 13. Nicoz Diamond Insurance Company | 15,065,130                     | 15,328,967 | 16,391,923 | 19,355,842 |
| 14. Old Mutual Insurance Company    | 35,167,690                     | 38,294,703 | 49,636,915 | 48,268,521 |
| 15. Quality Insurance Company       | 3,094,000                      | 3,249,000  | 3,841,000  | 3,541,000  |
| 16. Safel Insurance Company         | 3,656,723                      | 4,737,563  | 5,124,983  | 5,027,814  |
| 17. Sanctuary Insurance Company     | 1,741,693                      | 1,829,870  | 5,904,661  | 6,091,330  |
| 18. Zimnat Lion Insurance Company   | 2,384,857                      | 2,586,016  | 2,807,893  | 16,633,778 |

Key:

|  |                                                                                          |
|--|------------------------------------------------------------------------------------------|
|  | The insurer reported a capital position that was above the requirement of \$2.5 million. |
|  | The insurer reported a capital position which was below \$2.5 million.                   |

## **2.4. Asset Quality**

Total assets for non-life insurers grew from \$350.64 million as at 30 December 2018 to \$393.95 million as at 31 March 2019. The growth is attributable to balance sheet revaluations from United States dollars to the local currency.

The asset base of the non-life insurers was fairly distributed across the investment classes. However, premium debtors remained one of the major contributors to the total non-life insurance assets. Players are reminded to recognise debtors which are aged up to 90 days in line with Statutory Instrument 95 of 2017.

Investments in prescribed assets rose by 5.30% from \$21.09 million as at 30 December 2018 to \$22.21 million as at 31 March 2019. However, sixteen (16) out of the eighteen (18) non-life insurers were not compliant with the minimum prescribed assets ratio of 10%. Appendix 1C shows other indicators of asset quality.

## **2.5. Reinsurance**

The industry average retention ratio declined from 61.53% for the quarter ended 31 March 2019 to 46.65% for the period under review. This demonstrated a decrease in retention capacity among the non-life insurance industry. The average reinsurance creditors to reinsurance premium ratio was 68.12% compared to the same period in 2018 when the ratio was 95.33%.

Though there was a decrease in the average net business retention by the players as highlighted above, the players underwriting capacity shows that they are capable of providing cover to various risks. (See Appendix 1C for more indicators).

## **2.6. Actuarial Matters**

In line with Circular 8 of 2014, insurers are required to use actuarial advice on all actuarial issues such as pricing and reserving. The non-life insurance industry reported an increase in total technical liabilities from \$71.39 million as at 30 December 2018 to \$100.43 million as at 31 March 2019. The industry was considered to have adequate liquid assets to match its total technical liabilities as shown by the industry average liquid assets to total technical reserves of 111.18% reported as at 31 March 2019 which was higher than 105.34% reported as at 30 December 2018.

Notwithstanding the industry average liquid assets to reserves ratio recorded, some insurers reported ratios which were below 100%, indicating that the reserves were not backed by liquid assets. (See Appendix 1C for the performance indicators of insurance companies in terms of Actuarial matters).

## **2.7. Earnings**

Total profit after tax reported for non-life insurers for the quarter ended 31 March 2019 was \$10.34 million reflecting an increase from -\$0.329 million reported in the comparative period in 2018. The key driver was the increase in Gross Premium Written (GPW) and other income which grew by 74.73% and 608.33% respectively. Other related income streams like investment income declined by over 500% during the period under review.

However, an analysis of pure insurance business performance without taking into account other income streams, showed that the non-life insurers underwriting result declined from \$6.62 million as at 31 March 2018 to \$6.61 million as at 31 March 2019. This shows that profit after tax growth, as explained above was influenced by non-core insurance business as reported in the previous 2018 fourth quarter report.

The industry average return on assets (ROA) and return on equity (ROE) declined sharply from 8.00% and 15.00% as at 31 March 2018 to 3.89% and 7.48% as at 31 March 2019 respectively. This indicates that the non-life insurers were falling short on generating much income from their economic resources and assets on their balance sheets as highlighted in the previous report. (For more performance indicators on profitability see Appendix 1C).

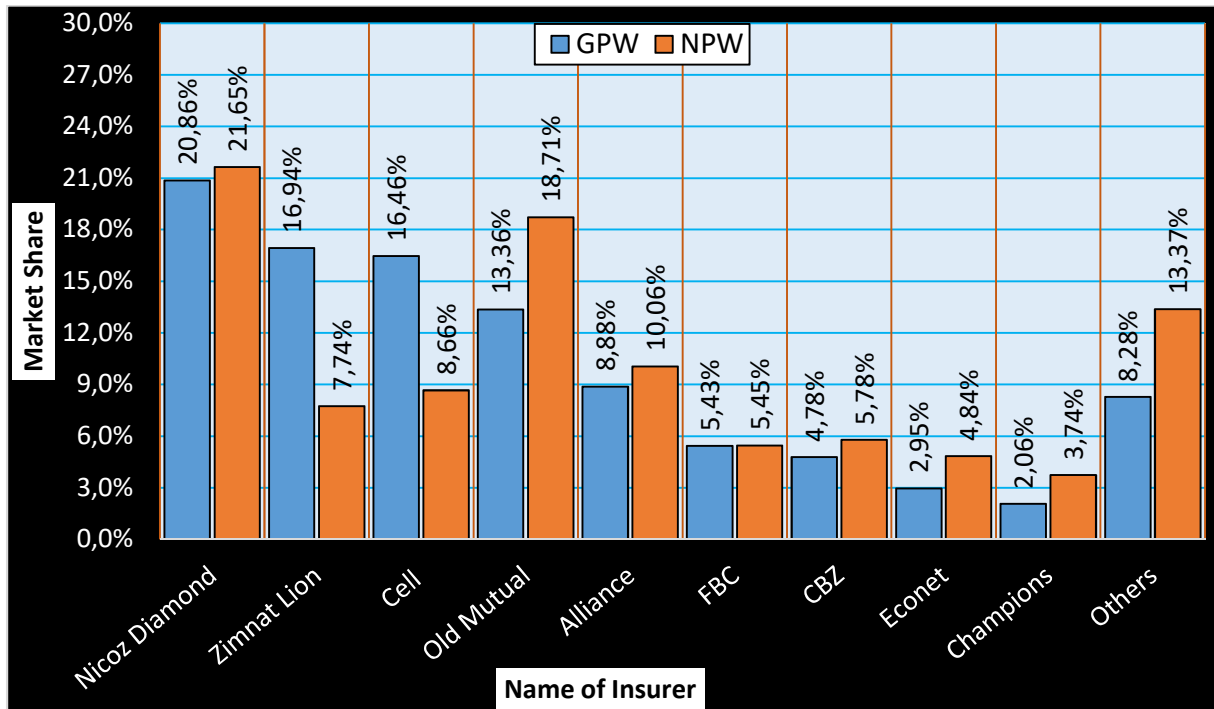
## **2.8. Liquidity**

Total cash and near cash assets in the form of money market and short term prescribed assets decreased from \$103.63 million as at 30 December 2018 to \$94.77 million as at 31 March 2019. Such a movement was mainly attributed to decreases in cash and cash equivalents from \$55.66 million as at 31 December 2018 to \$49.49 million in the period under review. The acid test ratio for individual insurers as at 31 March 2019 ranged from 1.89% to 1.303.59% as shown in Appendix 1C.

## 2.9. Market Share for Non-life Insurers

Nicoz Diamond Insurance Company, Zimnat Lion Insurance Company and Cell Insurance were the market leaders in terms of GPW with a combined market share of 54.26% as shown in Figure 2 below, which shows market share in terms of GPW and NPW for the insurers.

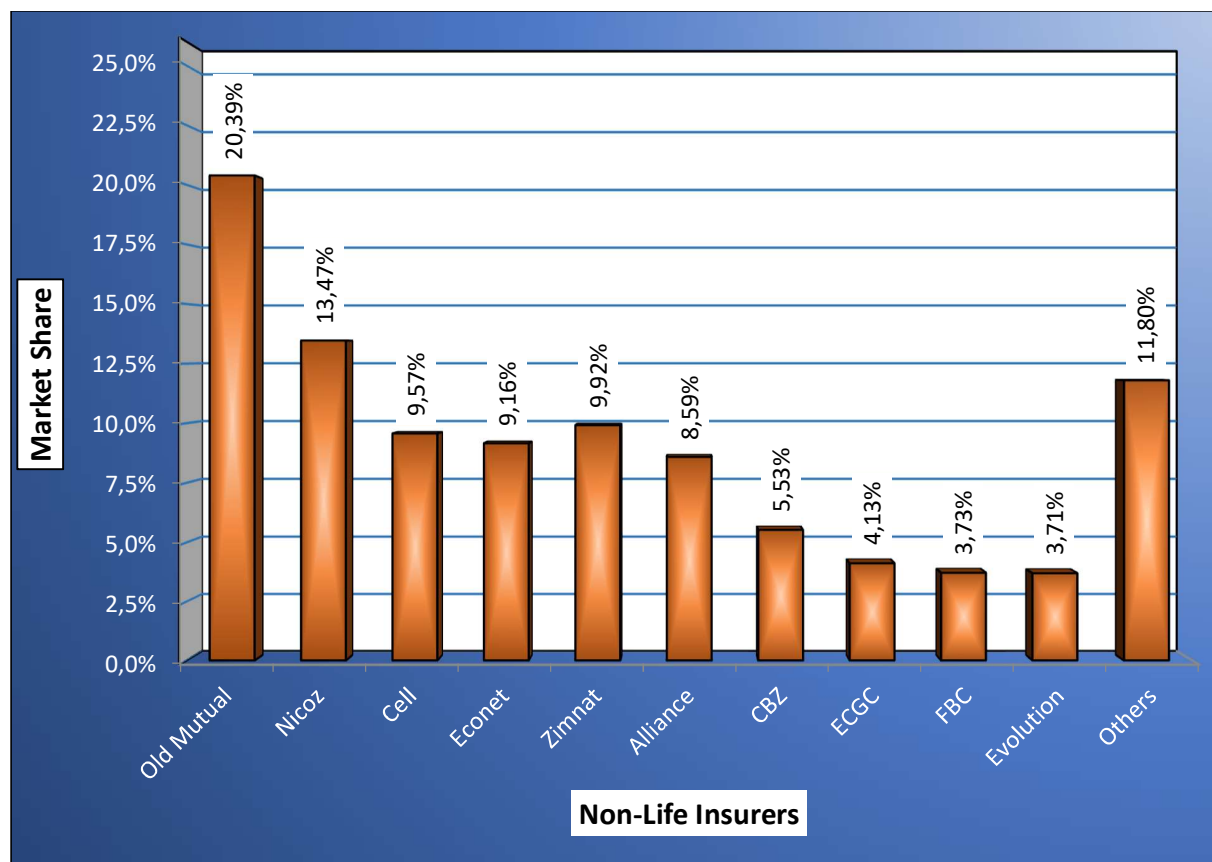
**Figure 2 : Market Share for Insurers in Terms of GPW and NPW as at 31 March 2019.**



In terms of total assets, Old Mutual Insurance Company, Nicoz Diamond Insurance and Cell Insurance were the market leaders during the period under review, with a combined market share of 43.43% as shown in Figure 3 below.



**Figure 3 : Market Share for Insurers in Terms of Total Assets as at 31 March 2019.**



In line with the Insurance Act Chapter 24:07 the market players are required to ensure that they implement effective strategies to preserve the significance and value of the assets.

## **SECTION B**

### **3. REINSURANCE COMPANIES**

*Please note that the figures for PTA Reinsurance Company (Zep-Re) contained in this report are only for the institution's Regional Hub Office located in Zimbabwe.*

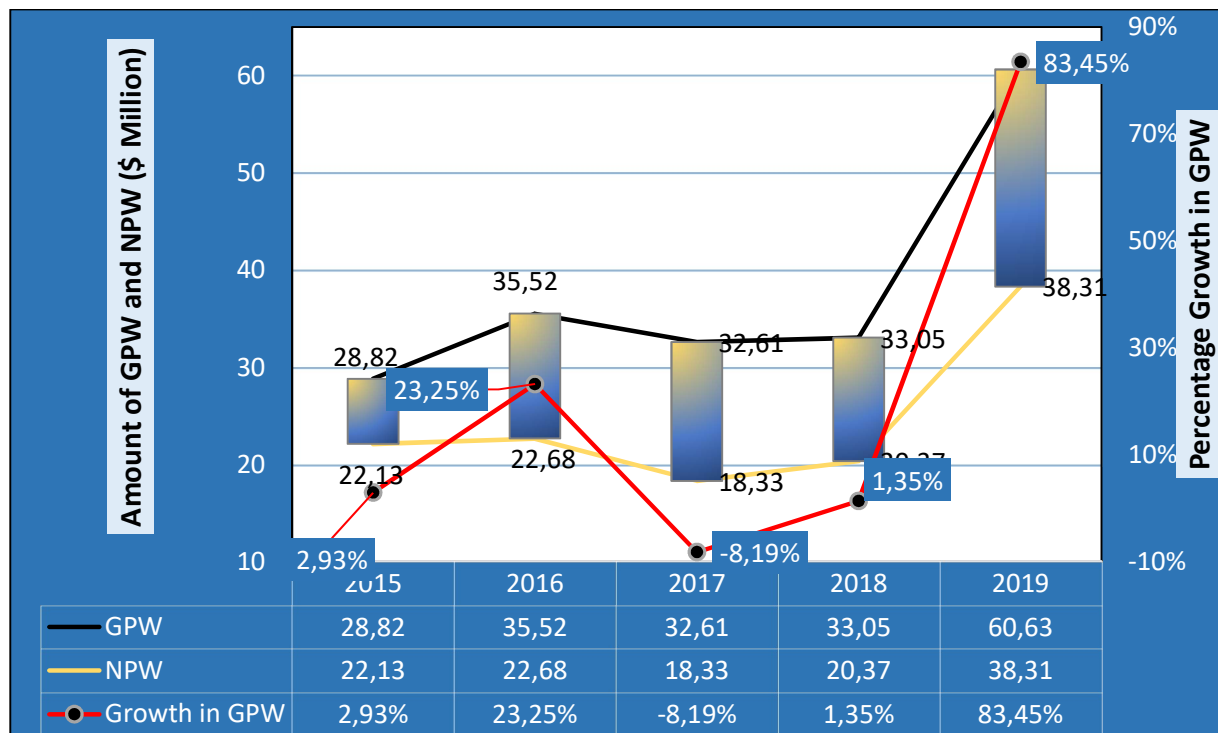
*Detailed statistics for all reinsurers are shown in Appendix 2A-C.*

### 3.1. Performance in Terms of Business Written

The volume of business written by non-life reinsurers rose by 83.45% from \$33.05 million as at 31 March 2018 to \$60.63 million as at 31 March 2019. The increase in GPW for the comparative period was attributed to increased fronting arrangements of business by direct non-life companies in business classes such as fire, marine and motor insurance classes.

Figure 4 below shows the trend in volume of business written by non-life reinsurers for the quarter ended 31 March 2019 of each year since 2015 to 2019.

**Figure 4 : Trend in Business Written Since 2015 to 2019.**



Marine and bonds business classes recorded the largest percentage increase in Gross Premium Written (GPW) while Engineering, Farming, Hail, Health and Hire Purchase recorded negative growth.

Table 4 below shows the changes in GPW during the period under review.

**Table 4 : Reinsurers' Gross Premium Written By Class of Business**

| Class of Business      | Gross Premium Written (\$) |                   | Percentage Change |
|------------------------|----------------------------|-------------------|-------------------|
|                        | 31-Mar-18                  | 31-Mar-19         |                   |
| Aviation               | 834,327                    | 1,819,132         | 118.04%           |
| Bonds/Guarantee        | 138,235                    | 537,777           | 289.03%           |
| Engineering            | 2,396,402                  | 2,390,142         | -0.26%            |
| Farming                | 1,846,611                  | 1,205,342         | -34.73%           |
| Fire                   | 9,484,073                  | 23,973,415        | 152.78%           |
| Hail                   | 1,365,110                  | 717,300           | -47.45%           |
| Health                 | 220,022                    | 112,298           | -48.96%           |
| Hire Purchase          | 62,443.000                 | 0.000             | -100.00%          |
| Marine                 | 604,141                    | 2,475,497         | 309.75%           |
| Miscellaneous Accident | 4,744,151                  | 6,384,922         | 34.59%            |
| Motor                  | 10,000,364                 | 18,688,339        | 86.88%            |
| Personal Accident      | 761,413                    | 1,610,183         | 111.47%           |
| Liability              | 594,150                    | 719,950           | 21.17%            |
| <b>Total</b>           | <b>33,051,442</b>          | <b>60,634,297</b> | <b>83.45%</b>     |

Fire, miscellaneous accident and motor remained the dominant classes of business for the quarter ended 31 March 2019. The three classes of business constituted 80.89% of the overall business written for this quarter.

### 3.2. Capitalization

As at 31 March 2019, all the registered non-life reinsurers except Tropical Reinsurance reported capital positions which were compliant with the minimum capital requirement of \$5 million.

The minimum capital requirements shown in the table below were not stress tested against the dictates of Statutory Instrument (SI) 95 of 2017 which discounts non-permissible assets.

Table 5 below shows the capital positions for non-life reinsurers.

**Table 5 : Reported Capital Positions for Non-Life Reinsurers**

| Reinsurance Company | Reported Capital Position (\$) |            |            |            |
|---------------------|--------------------------------|------------|------------|------------|
|                     | 31-Mar-18                      | 30-Sep-18  | 31-Dec-18  | 31-Mar-19  |
| 1. Emeritus Re.     | 37,445,383                     | 37,116,987 | 38,313,435 | 40,351,802 |
| 2. FBC Re.          | 13,990,329                     | 14,596,813 | 15,607,315 | 16,461,892 |
| 3. FM RE            | 7,495,418                      | 7,820,012  | 9,363,092  | 5,217,151  |
| 4. Grand Re.        | 9,784,812                      | 10,552,117 | 10,348,374 | 11,165,694 |
| 5. Tropical Re.     | 4,275,690                      | 5,585,347  | 5,420,730  | 4,590,495  |
| 6. WAICA Re         | 1,835,765                      | 5,390,504  | 5,115,043  | 18,983,145 |
| 7. PTA Re.          | 5,399,008                      | 6,688,746  | 6,870,596  | 7,618,002  |
| 8. ZB Re.           | 10,283,710                     | 10,919,000 | 12,404,780 | 15,351,030 |

Key:

|  |                                                                                        |
|--|----------------------------------------------------------------------------------------|
|  | The insurer reported a capital position that was above the requirement of \$5 million. |
|  | The insurer reported a capital position which was below \$5 million.                   |

The industry average solvency margin for reinsurers was 167.41% which was above the minimum regulatory requirement of 25%. The solvency margin for reinsurers as at 31 March 2019 ranged from 46.88% to 563.32% as shown in appendix 2C.

### 3.3. Asset Quality

Total assets for non-life reinsurers amounted to \$227.63 million as at 31 March 2019, reflecting a 28.32% increase from \$177.40 million reported as at 30 December 2018.

The growth in total assets was mainly due to increase in non-current assets and premium debtors from \$92.54 million as at 30 December 2018 to \$138.84 million as at 31 March 2019.

Investments in prescribed assets for non-life reinsurers declined from \$21.31 million as at 31 December 2018 to \$19.73 million as at 31 March 2019 reflecting a negative movement of 7.49%.

In terms of prescribed assets ratio six (6) non-life reinsurers were not compliant with the minimum ratio of 10% as at 31 March 2019. The non-life reinsurance industry average prescribed asset ratio as at 31 March 2019 was 10.50% and the average percentage was lower than the 11.11% reported as at 30 December 2018.

On a separate note, premium receivables rose from \$30.30 million as at 30 December 2018 to \$48.33 million as at 31 March 2019, reflecting a 59.50% movement. Equities also increased from \$27.62 million reported for the period ending 30 December 2018 to \$35.70 million for the quarter ending 31 March 2019. The movements in equities is a function of the performance of various counters on the local bourse while premium debtors is likely because of the current temporary challenges prevailing in our economy.

### **3.4. Retrocession**

The industry average retention ratio was 63.18% for the quarter ended 31 March 2019 compared to 61.63% that was reported for the quarter ended 31 March 2018 which technically shows an increase in the risk appetite by local reinsurers.

The non-life reinsurers were not up to date with their retrocession premium remittance as shown by the industry's average retrocession creditors to retrocession premium ratio of 130.25% in the period under review. The players must ensure that they settle their retrocession obligations to avoid underwriting risk and loss of business.

### **3.5. Actuarial Matters**

As at 31 March 2019, non-life reinsurers' total technical liabilities amounted to \$57.59 million, reflecting a 27.63% increase from \$45.12 million reported as at 30 December 2018.

The largest proportion of total reserves was attributable to gross outstanding claims which amounted to \$32.79 million and accounted for 56.94% of the total technical liabilities.

The above showed that the non-life reinsurance sector was swamped with a backlog of claims during the period under review.

### **3.6. Earnings**

Total profit after tax for non-life reinsurers increased from \$0.84 million for the quarter ended 31 March 2018 to \$18.62 million for quarter ended 31 March 2019. The increase in total profit after tax was attributable to associated increase in unrealised gains from \$1.12 million to \$15.31 million during the period under review.

The industry average loss ratio was 36.68% for the quarter ended 31 March 2019, a marginal decrease from the 35.49% reported in the comparative period in 2018. There was decrease in the net expenses ratio from 25.87% recorded in the previous quarter to 25.19% as at 31 March 2019. Resultantly the combined ratio moved from 89.83% as at 31 March 2018 to 84.84% as at 31 March 2019 which indicates minor improvements in profitability.

### **3.7. Liquidity**

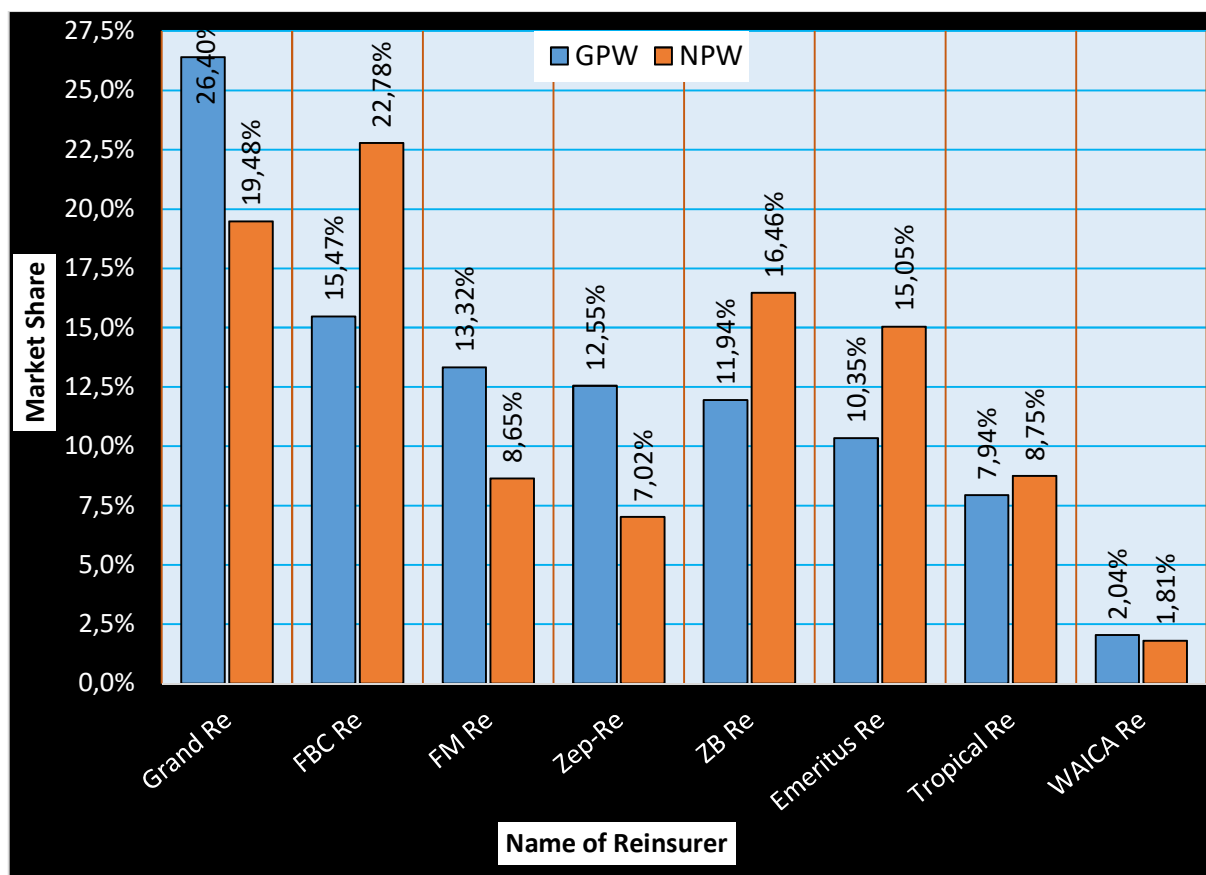
The liquid assets held by non-life reinsurers increased from \$52.58 million as at 31 March 2018 to \$61.73 million as at 31 March 2019. The increase in liquid assets is attributable to efforts by players to ensure availability of funds to meet immediate obligations when they fall due.

The average acid test ratio for individual non-life reinsurers as at 31 March 2019 was 65.71% and this shows a health position in the wake of possible policyholder obligations. The acid test ratios for non-life reinsurers is shown on Appendix 2C under liquidity.

### **3.8. Market Share for Reinsurers**

As shown in Figure 5 below, Grand Re, FBC Re and FM Re reportedly controlled 55.19% of gross premiums for the period under review.

**Figure 5 : Market Share for Non-life Reinsurers in terms of GPW and NPW.**



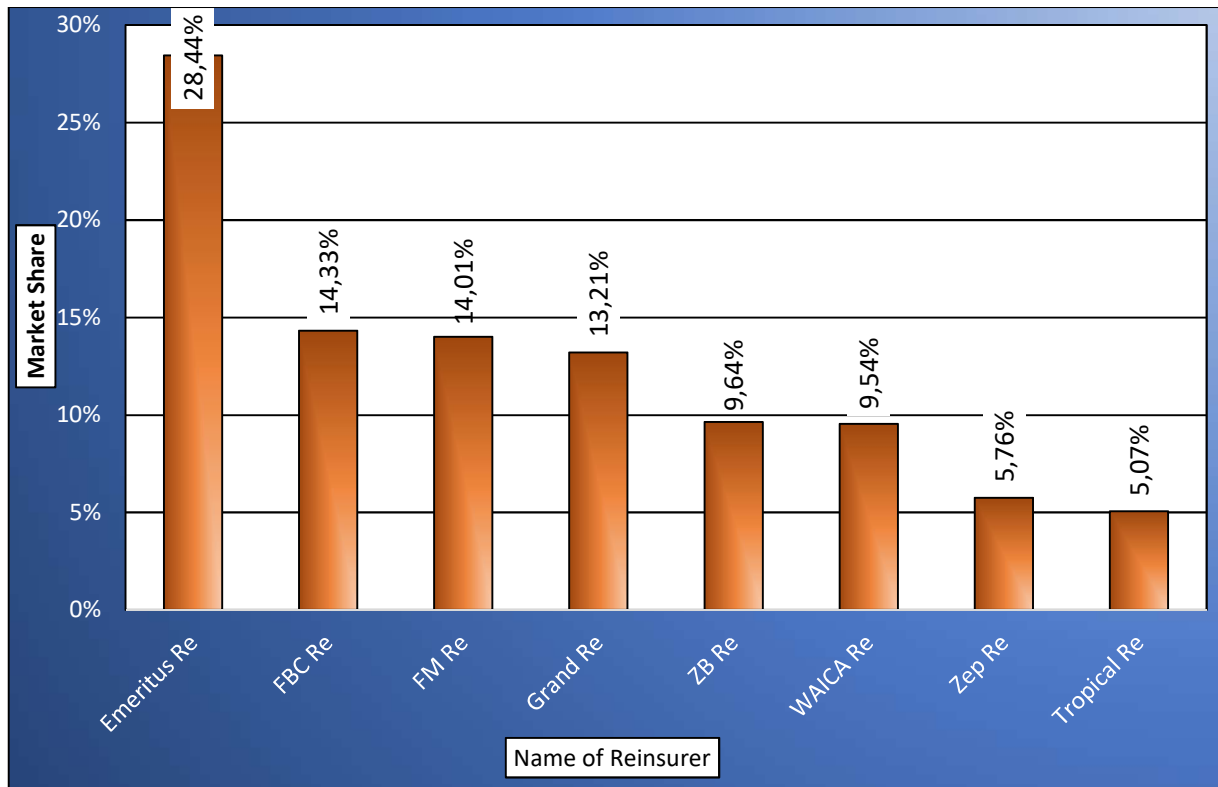
In terms of total assets, the market leaders were Emeritus Reinsurance Company, FBC Reinsurance Company, and FM Re with a market share of 28.44%, 14.33%, and 14.01% respectively.

Their combined market share stood at 56.78%.



Figure 6 below shows the market shares of each reinsurer.

**Figure 6 : Market Share for Non-life Reinsurers in terms of Total Assets.**



## **SECTION C**

### **4. INSURANCE BROKERS**

### 1.1. Business Written

For the quarter ended 31 March 2019, Insurance brokers wrote \$53.65 million in premium income. This represented a 71.77% increase in business written by insurance brokers from \$31.23 million reported for the same period in 2018. Insurance brokers recorded \$7.52 million net brokerage commission since 1 January 2019. In comparison to the same period in 2018, this represented a 54.33% increase from \$4.87 million reported. Increased business volumes reported by insurance brokers indicate aggressive marketing activities in the sector.

The total commission translated to an industry average commission rate of 15.79% for the year ended 31 March 2019, this is lower than the 16.49% reported for the same period in 2018. Table 6 below shows key indicators for the business written by the insurance brokers (in \$).

**Table 6 : Indicators of Business Written for Insurance Brokers**

| Indicator                | 31 Mar 2018<br>(\$) | 31 Mar 2019<br>(\$) | Percentage<br>Change |
|--------------------------|---------------------|---------------------|----------------------|
| Premium Written          | 31,231,318          | 53,646,682          | 71.77%               |
| Premium Payable          | 26,082,299          | 45,170,239          | 73.18%               |
| Brokerage Commission     | 5,149,019           | 8,469,352           | 64.48%               |
| Commission Paid          | 277,967             | 951,636             | 242.36%              |
| Net Brokerage Commission | 4,871,052           | 7,517,716           | 54.33%               |
| Other Income             | 345,146             | 418,783             | 21.34%               |
| Operating Expenses       | 4,291,242           | 5,676,913           | 32.29%               |
| Profit Before Tax        | 924,956             | 2,259,586           | 144.29%              |
| Taxation                 | 169,896             | 510,619             | 200.55%              |
| Profit After Tax         | 755,060             | 1,748,967           | 131.63%              |

## 1.2. Capitalisation

As at 31 March 2019, three insurance brokers reported capital positions that were below the required minimum of \$100,000. The capital positions for the lowest and highest insurance brokers ranged from \$ 15,258 to \$2.54 million, respectively as shown in Table 7 below:

**Table 7: Reported Capital Levels for Insurance Brokers**

| Name of Insurance Company           | Reported Capital Position (\$) |           |           |           |
|-------------------------------------|--------------------------------|-----------|-----------|-----------|
|                                     | 30-Jun-18                      | 30-Sep-18 | 31-Dec-18 | 31-Mar-19 |
| 1. Ambassador Insurance Brokers     | 102,701                        | 102,431   | 102,431   | 102,701   |
| 2. Amour Khan Insurance Brokers     | 150,797                        | 141,807   | 145,986   | 153,061   |
| 3. Auto & General Insurance Brokers | 393,600                        | 391,700   | 395,800   | 392,300   |
| 4. Broksure Insurance Brokers       | 102,247                        | 110,626   | 120,104   | 95,558    |
| 5. Capitol Insurance Brokers        | 574,531                        | 577,292   | 602,469   | 716,702   |
| 6. Care Insurance Brokers           | 278,493                        | 320,303   | 303,079   | 318,469   |
| 7. CBZ Risk                         | 797,559                        | 752,736   | 762,134   | 1,051,988 |
| 8. Coverlink Insurance Brokers      | 133,588                        | 101,330   | 101,397   | 74,618    |
| 9. Eaton & Youngs (Private) Limited | 720,774                        | 731,612   | 642,257   | 694,898   |
| 10. Eureka Insurance Brokers        | 181,137                        | 328,669   | 310,233   | 194,373   |
| 11. Entwide                         | 113,394                        | 118,313   | 117,151   | 118,385   |
| 12. First Sun Alliance              | 389,176                        | 377,404   | 377,404   | 374,799   |
| 13. Glenrand MIB Zimbabwe           | 329,792                        | 330,538   | 327,839   | 342,892   |
| 14. Goldstick Insurance Brokers     | 243,094                        | 243,690   | 245,172   | 244,201   |
| 15. Hostcare Insurance Brokers      | 100,843                        | 100,843   | 100,843   | 243,914   |
| 16. HRIB (Private) Limited          | 622,180                        | 524,841   | 521,743   | 910,632   |
| 17. Hunt Adams & Associates         | 452,832                        | 482,198   | 389,001   | 608,284   |
| 18. L. A. Guard Insurance Brokers   | 259,611                        | 300,476   | 259,822   | 283,995   |
| 19. Marsh Insurance Brokers         | 1,436,792                      | 1,350,933 | 1,179,527 | 1,214,043 |
| 20. Minerva Risk Solutions          | 1,826,181                      | 1,852,454 | 2,160,182 | 2,535,126 |
| 21. Momentum Insurance Brokers      | 605,033                        | 480,336   | 421,939   | 706,728   |
| 22. Paul Mkondo Insurance Brokers   | 161,114                        | 169,290   | 169,290   | 167,855   |
| 23. Perpro Insurance Brokers        | 219,336                        | 228,612   | 246,236   | 253,013   |
| 24. Progressive Insurance Brokers   | 449,111                        | 634,377   | 582,124   | 395,559   |
| 25. Rainbow Insurance Brokers       | 15,921                         | 16,674    | 15,159    | 15,258    |
| 26. Revival Insurance Brokers       | 485,450                        | 485,450   | 485,450   | 394,000   |
| 27. SATIB Insurance Brokers         | 378,103                        | 585,187   | 533,970   | 573,194   |
| 28. TIB Insurance Brokers           | 260,376                        | 275,876   | 263,318   | 249,945   |
| 29. Victory Insurance Brokers       | 270,333                        | 256,776   | 330,836   | 663,685   |
| 30. WFDR Risk Services              | 339,296                        | 364,904   | 573,796   | 633,550   |
| 31. Zimbabwe Insurance Brokers      | 168,040                        | 229,883   | 247,137   | 394,174   |

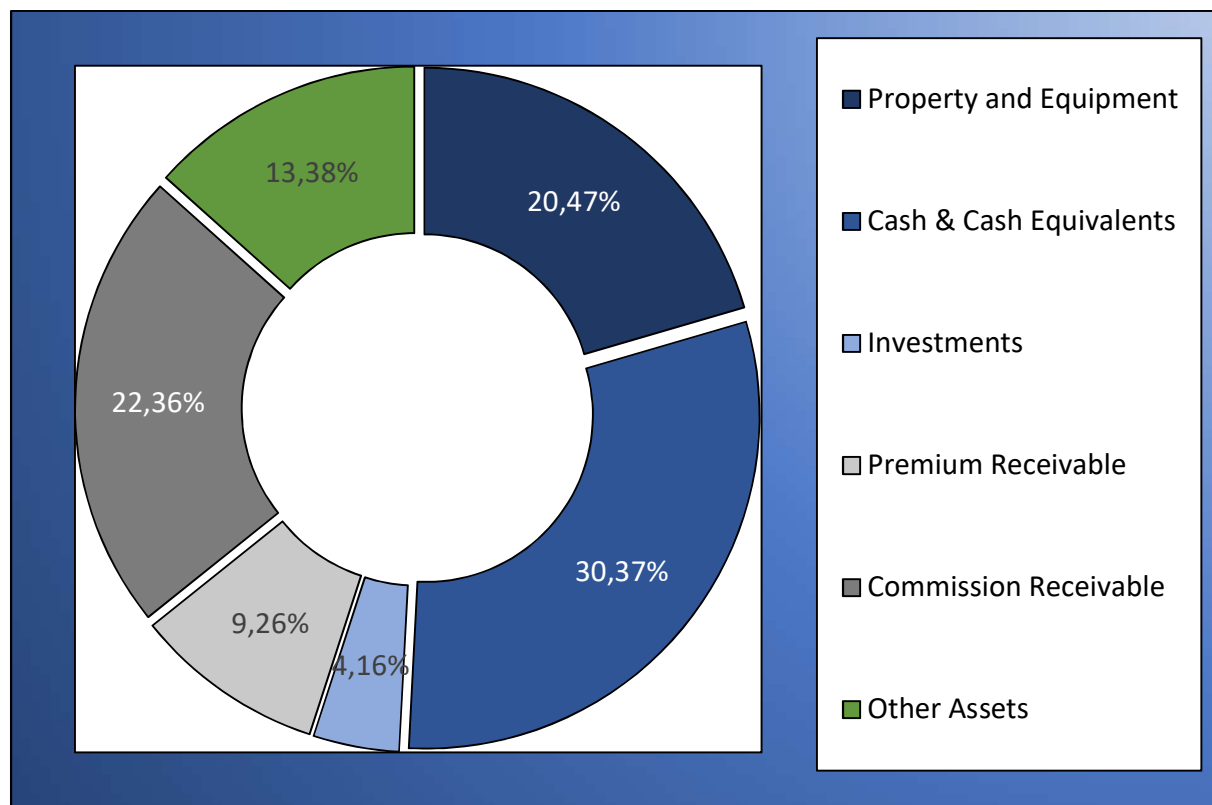
Key:

|  |                                                                                     |
|--|-------------------------------------------------------------------------------------|
|  | The broker reported a capital position that was above the requirement of \$100,000. |
|  | The broker reported a capital position that was below the requirement of \$100,000. |

### 1.3. Asset Quality

The asset base for insurance brokers increased from \$30.87 million reported as at 31 December 2018 to \$38.81 million as at 31 March 2019. This was caused by increases in commission receivables, debtors, cash and cash equivalents and investments.

**Figure 7: Insurance Brokers' breakdown of Total Assets**



As shown above, the asset base for insurance brokers is skewed towards cash and cash equivalents, commission receivables and property and equipment.

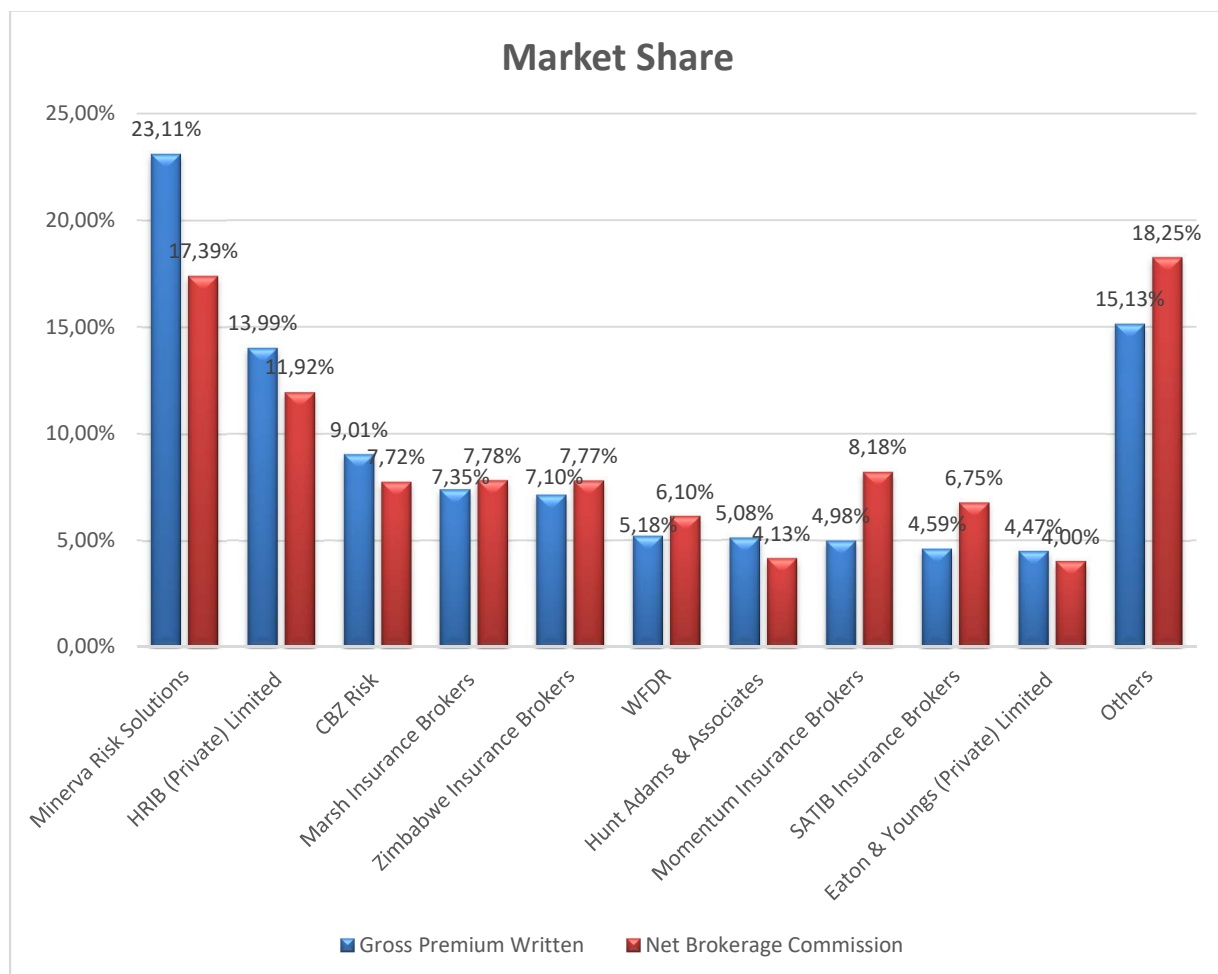
## 1.4. Earnings

Insurance brokers reported a 131.63% increase in total profit after tax from \$0.76 million for the quarter ended 31 March 2018 to \$1.75 million for the current period. This was due to an increase in premiums written under the current period. The industry average return on equity (ROE) and return on assets (ROA) for the reporting period were 11.57% and 4.51% respectively.

## 1.5. Market Share for Insurance Brokers

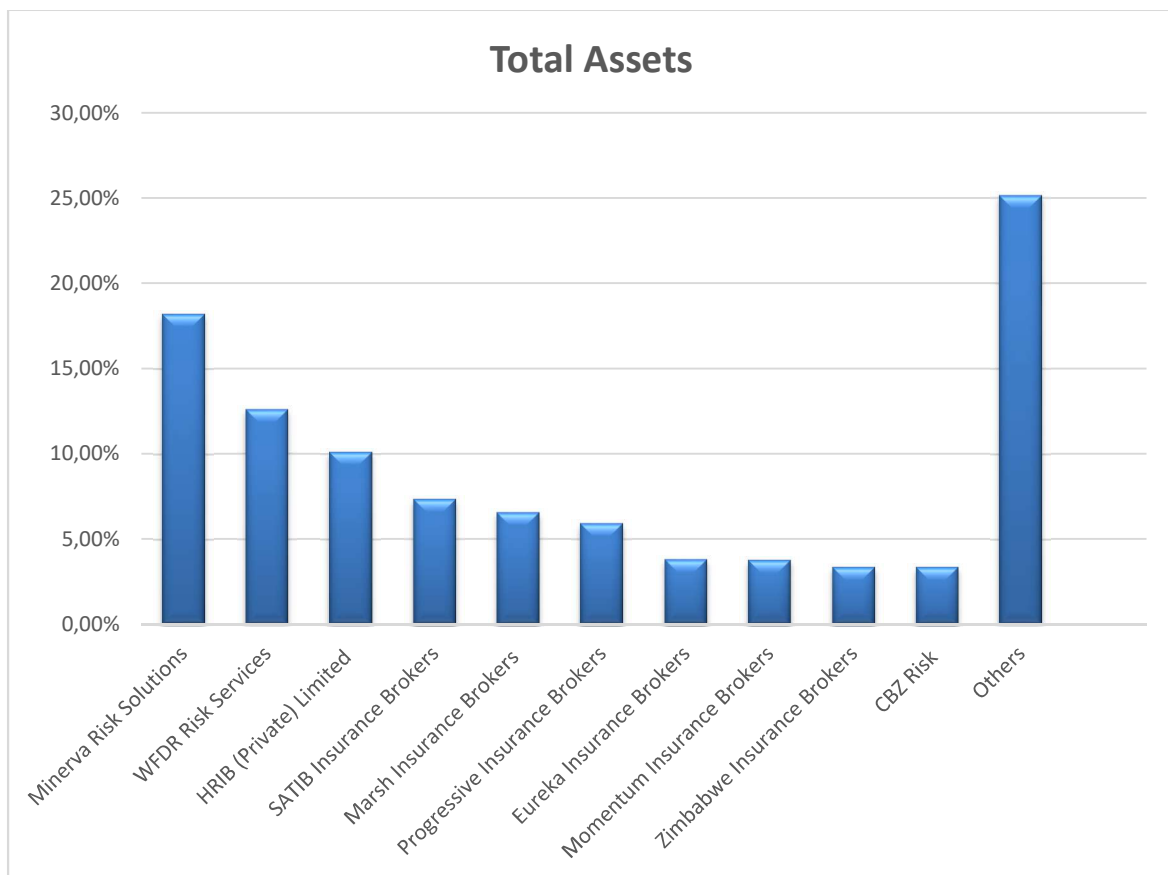
For the year ended 31 December 2018, Minerva Risk Solutions, HRIB, CBZ Risk and Marsh Insurance Brokers Zimbabwe dominated the market in terms of both business written as well as brokerage income. Figure 8 below shows the market share for the top ten insurance brokers in terms of net brokerage commission and gross premium written.

**Figure 8: Market Share in Terms of Net Brokerage Commission and Gross Premium Written**



In terms of total assets, Minerva Risk Solutions, WFDR Risk Services, HRIB, SATIB Insurance Brokers and Marsh Insurance Brokers were the market leaders as shown in Figure 9 below:

**Figure 9: Market Share for Insurance Brokers in Terms of Total Assets**



The insurance brokers are encouraged to ensure that their assets are preserved and well-kept-up as they determine the financial strength of their entities as professional insurance advisors.

## **SECTION D**

### **2. REINSURANCE BROKERS**



## 2.1. Business Written

Reinsurance brokers reported \$27.27 million in gross premium for the quarter ended 31 March 2019 reflecting an increase of 38.93% from the \$19.63 million reported for the same period in 2018. The industry average commission ratio for reinsurance brokers was 19.45% for the quarter ended 31 March 2019, which is a decrease from 24.69% for the same period in 2018.

The table below shows the key indicators of business written by reinsurance brokers (in \$).

**Table 8: Indicators of Business Written for Reinsurance Brokers**

| Indicator                | 31-Mar-17<br>(\$) | 31-Mar-18<br>(\$) | Percentage Change |
|--------------------------|-------------------|-------------------|-------------------|
| Premium Written          | 19,626,029        | 27,265,652        | 38.93%            |
| Premium Payable          | 14,780,947        | 21,963,457        | 48.59%            |
| Brokerage Commission     | 4,845,082         | 5,302,195         | 9.43%             |
| Commission Paid          | 3,873,301         | 4,064,170         | 4.93%             |
| Net Brokerage Commission | 971,781           | 1,238,025         | 27.40%            |
| Other Income             | 14,274            | -9,947            | -169.68%          |
| Operating Expenses       | 666,540           | 907,544           | 36.16%            |
| Profit Before Tax        | 319,515           | 320,535           | 0.32%             |
| Taxation                 | 80,582            | 47,261            | -41.35%           |
| Profit After Tax         | 238,933           | 273,273           | 14.37%            |

## 2.2. Capitalisation

All of the reinsurance brokers reported capital positions which were above \$100,000 as at 31 March 2019. Table 9 below shows the capital positions reported by all reinsurance brokers.

**Table 9: Capitalization Levels for Reinsurance Brokers**

| Name of Reinsurance Broker           | 30-Jun-18 (\$) | 30-Sep-18 (\$) | 31-Dec-18 (\$) | 31-Mar-19 (\$) |
|--------------------------------------|----------------|----------------|----------------|----------------|
| 1. Afro-Asian Reinsurance Brokers    | 95,280         | 145,058        | 165,315        | 258,665        |
| 2. Capitol Reinsurance Brokers       |                | 105,804        | 114,279        | 242,301        |
| 3. Classic Reinsurance Brokers       | 115,903        | 115,707        | 116,359        | 115,839        |
| 4. Marsh Reinsurance Brokers         | 146,371        | 161,626        | 134,117        | 166,049        |
| 5. Minerva Re (Private) Limited      | 3,225,249      | 3,230,592      | 3,105,927      | 3,368,660      |
| 6. Pan African Re                    | 515,478        | 493,598        | 414,388        | 403,989        |
| 7. Reinsurance Brokers International | 149,951        | 267,836        | 293,758        | 289,916        |

Key:

|  |                                                                                     |
|--|-------------------------------------------------------------------------------------|
|  | The broker reported a capital position that was above the requirement of \$100,000. |
|  | The broker reported a capital position that was below the requirement of \$100,000. |

**2.3. Asset Quality**

Reinsurance brokers reported total assets amounting to \$42.35 million as at 31 March 2019, reflecting an 18.82% increase from \$35.64 million reported for as at 31 December 2018. This increase was mainly attributed to increases in debtors, premium receivable and commission receivable by 44.36%, 26.54% and 9.73% respectively when compared to 31 December 2018. The asset distribution for reinsurance brokers included land and buildings, furniture and fittings, motor vehicles, property and equipment, investments and cash.

## 2.4. Earnings for Reinsurance Brokers

Total profit after tax for reinsurance brokers increased by 14.37% from \$0.238 million for the year ended 31 March 2018 to \$0.273 million for the year ended 31 March 2019. This increase in profit after tax was a result of an increase in premium written by 38.95% and a decrease in taxation by 41.35% respectively when compared to 31 March 2018. The slowdown in growth witnessed in profit after tax is confirmed by the industry average return on equity (ROE) which fell from 6.19% as at 31 March 2018 to 5.64%, while return on assets (ROA) eased from 0.70% to 0.65% in the current period.

## 2.5. Market Share for Reinsurance Brokers

Minerva Re (Private) Limited remained dominant throughout the year in terms of business written, net brokerage commission and total assets for the reinsurance broking market. The market share for all the reinsurance brokers for the period under review is as shown in Table 10 below.

**Table 10: Market Share for Reinsurance Brokers**

| Name of Reinsurance Broker           | Net Brokerage Commission | Premium Written | Total Assets |
|--------------------------------------|--------------------------|-----------------|--------------|
| 1. Afro-Asian Reinsurance Brokers    | 8.26%                    | 2.68%           | 2.24%        |
| 2. Capitol Reinsurance Brokers       | 11.12%                   | 9.84%           | 6.24%        |
| 3. Classic Reinsurance Brokers*      | 0.00%                    | 0.00%           | 0.27%        |
| 4. Marsh Reinsurance Brokers         | 8.84%                    | 11.05%          | 9.54%        |
| 5. Minerva Re (Private) Limited      | 60.88%                   | 60.34%          | 74.14%       |
| 6. Pan African Re                    | 10.52%                   | 15.57%          | 3.57%        |
| 7. Reinsurance Brokers International | 0.37%                    | 0.52%           | 3.99%        |
| <b>Total</b>                         | <b>100%</b>              | <b>100%</b>     | <b>100%</b>  |

*\*The reinsurance broker did not write any business during the period under review.*

## **SECTION E**

### **3. CONCLUSION**

### **3.1. Conclusion**

It is imperative that the insurance industry embrace a zero-tolerance to non-compliance as it is critical for their existence. The key mandate of the Commission is to ensure that policy holders are fully protected while the industry remains sound and financially stable in the wake of temporary economic challenges.

The insurance industry is further encouraged to put more effort on projects of national importance and augment the current efforts which the Government of Zimbabwe is pursuing through the Zimbabwe Transitional Stabilisation Programme.

The insurance industry players are also encouraged to be innovative and creative in terms of both product offerings as well as business models and strategies in order to enhance continued and profitable growth.

Technological advancements also bring a lot of opportunities which the insurance industry can tap into to increase revenue streams.

## **SECTION F**

### **4. APPENDICES**

**Appendix 1A – Statement of Comprehensive Income for Non-Life Insurers as at 31 March 2019**

|                            | Alliance   | Allied    | CBZ       | Cell Insurance Company |           | Champions | Clarion   | Credsure  | Econet      | Evolution | ECGC      | FBC         | Hamilton | Nicoz Diamond | Old Mutual  | Quality   | Safel     | Sanctuary | Zimnat Lion | Total       |
|----------------------------|------------|-----------|-----------|------------------------|-----------|-----------|-----------|-----------|-------------|-----------|-----------|-------------|----------|---------------|-------------|-----------|-----------|-----------|-------------|-------------|
|                            |            |           |           | Promoter               | Cell      |           |           |           |             |           |           |             |          |               |             |           |           |           |             |             |
| Gross Premium Written      | 11,679,973 | 837,537   | 6,284,572 | 19,223,807             | 2,433,744 | 2,707,154 | 2,194,383 | 971,445   | 3,876,632   | 2,720,960 | 899,488   | 7,150,483   | 832,884  | 27,448,943    | 17,582,745  | 461,000   | 1,558,147 | 429,870   | 22,292,618  | 131,586,386 |
| Reinsurance Premium        | 5,504,655  | 212,994   | 2,739,317 | 16,340,013             | -         | 411,794   | 44,295    | 577,105   | 905,713     | 949,570   | 525,955   | 3,802,268   | 61,476   | 14,158,626    | 6,097,592   | 118,000   | 188,276   | 25,600    | 17,540,813  | 70,204,061  |
| Net Premium Written        | 6,175,319  | 624,543   | 3,545,255 | 2,883,794              | 2,433,744 | 2,295,360 | 2,150,088 | 394,340   | 2,970,919   | 1,771,390 | 373,533   | 3,348,216   | 771,408  | 13,290,317    | 11,485,153  | 343,000   | 1,369,871 | 404,270   | 4,751,805   | 61,382,325  |
| Increase/(Decrease) in UPR | (555,028)  | 311,968   | 921,513   | 781,725                | 692,591   | (624,816) | (447,190) | 144,522   | 560,157     | 530,873   | (153,750) | 883,933     | 78,568   | 4,084,603     | 2,876,047   | (4,000)   | (444,878) | (227,650) | 467,318     | 9,876,507   |
| Net Earned Premium         | 6,730,347  | 312,575   | 2,623,742 | 2,102,069              | 1,741,153 | 2,920,176 | 2,597,278 | 249,818   | 2,410,762   | 1,240,517 | 527,283   | 2,464,282   | 692,840  | 9,205,714     | 8,609,106   | 347,000   | 1,814,749 | 631,920   | 4,284,487   | 51,505,818  |
| Net Incurred Claims        | 5,288,632  | 164,291   | 1,274,927 | 924,511                | 607,985   | 151,555   | 81,478    | 118,773   | 270,822     | 445,782   | 93,517    | 2,107,097   | 245,357  | 4,604,716     | 7,910,022   | 40,000    | (66,757)  | 125,586   | 1,132,161   | 25,520,456  |
| Net Commission Incurred    | 341,741    | (10,824)  | 221,069   | (1,558,512)            | -         | 110,541   | 1,231,332 | (6,202)   | 245,753     | 12,229    | 19,888    | 233,433     | 23,757   | (29,306)      | 429,443     | 51,000    | 316,329   | 109,929   | (995,061)   | 746,539     |
| Technical Result           | 1,099,973  | 159,108   | 1,127,746 | 2,736,070              | 1,133,168 | 2,658,080 | 1,284,468 | 137,247   | 1,894,187   | 782,506   | 413,878   | 123,752     | 423,726  | 4,630,304     | 269,641     | 256,000   | 1,565,178 | 396,405   | 4,147,387   | 25,238,823  |
| Operating Expenses         | 1,121,958  | 184,878   | 792,350   | 822,409                | 258,326   | 1,401,947 | 1,010,030 | 197,936   | 1,787,098   | 423,456   | 363,638   | 1,547,317   | 353,949  | 3,319,834     | 2,376,318   | 212,000   | 402,546   | 296,057   | 1,761,159   | 18,633,207  |
| Underwriting Result        | (21,985)   | (25,770)  | 335,396   | 1,913,661              | 874,842   | 1,256,133 | 274,438   | (60,689)  | 107,089     | 359,050   | 50,240    | (1,423,565) | 69,777   | 1,310,470     | (2,106,677) | 44,000    | 1,162,632 | 100,347   | 2,386,228   | 6,605,616   |
| Investment Income          | 23,111     | (5,807)   | 19,492    | 81,558                 | -         | 1,780     | -         | 11,664    | -           | 5,641     | 131,250   | 156,686     | -        | 35,736        | (3,750,501) | 23,000    | 58,000    | -         | 103,926     | (3,104,464) |
| Unrealised Gains/(Losses)  | -          | 2,521,623 | (41,540)  | (87,575)               | (137)     | -         | -         | (406,033) | (4,450,445) | (2,021)   | -         | (278,674)   | -        | 879,887       | 641,135     | (393,000) | -         | -         | (92,140)    | (1,708,920) |
| Other Income/(Expenses)    | (15,012)   | 110,088   | 22,224    | 6,516,972              | -         | 158,880   | 122,101   | 55,811    | (150,683)   | -         | 157,626   | 65,354      | -        | 129,688       | 3,336,390   | -         | -         | 86,322    | (17,817)    | 10,577,944  |
| Profit/(Loss) Before Tax   | (13,886)   | 2,600,134 | 335,572   | 8,424,616              | 874,705   | 1,416,793 | 396,539   | (399,247) | (4,494,039) | 362,670   | 339,116   | (1,480,199) | 69,777   | 2,355,781     | (1,879,653) | (326,000) | 1,220,632 | 186,669   | 2,380,197   | 12,370,177  |
| Taxation                   | -          | 669,535   | 86,410    | 786,927                | -         | 364,819   | 102,109   | (102,806) | (1,149,184) | -         | -         | (381,151)   | -        | 727,438       | (474,827)   | 1,000     | 275,558   | -         | 218,317     | 1,124,144   |
| Profit/(Loss) After Tax    | (13,886)   | 1,930,599 | 249,162   | 7,637,689              | 874,705   | 1,051,974 | 294,430   | (296,441) | (3,344,855) | 362,670   | 339,116   | (1,099,048) | 69,777   | 1,628,343     | (1,404,826) | (327,000) | 945,074   | 186,669   | 2,161,880   | 11,246,032  |
| Dividends                  | -          | -         | -         | -                      | -         | -         | -         | -         | -           | -         | -         | -           | -        | -             | -           | -         | -         | -         | 905,038     | 905,038     |
| Retained Income            | (13,886)   | 1,930,599 | 249,162   | 7,637,689              | 874,705   | 1,051,974 | 294,430   | (296,441) | (3,344,855) | 362,670   | 339,116   | (1,099,048) | 69,777   | 1,628,343     | (1,404,826) | (327,000) | 945,074   | 186,669   | 1,256,842   | 10,340,994  |

## Appendix 1B – Statement of Financial Position for Non-Life Insurers as at 31 March 2019

|                                         | Alliance   | Allied    | CBZ        | Cell Insurance Company | Champions     | Clarion   | Credsure  | Econet    | Evolution   | ECGC       | FBC        | Hamilton   | Nicoz Diamond | Old Mutual | Quality    | Safel     | Sanctuary | Zimnat Lion | Total      |             |
|-----------------------------------------|------------|-----------|------------|------------------------|---------------|-----------|-----------|-----------|-------------|------------|------------|------------|---------------|------------|------------|-----------|-----------|-------------|------------|-------------|
|                                         |            |           |            | Promoter               | Cell Business |           |           |           |             |            |            |            |               |            |            |           |           |             |            |             |
| ASSETS                                  |            |           |            |                        |               |           |           |           |             |            |            |            |               |            |            |           |           |             |            |             |
| Non-Current Assets                      |            |           |            |                        |               |           |           |           |             |            |            |            |               |            |            |           |           |             |            |             |
| Fixed Assets                            | 3,798,023  | 4,850,003 | 335,347    | 3,420,410              | -             | 2,594,853 | 1,044,146 | 1,740,822 | 3,517,524   | 3,192,590  | 1,811,963  | 3,084,221  | 572,610       | 6,230,259  | 598,667    | 989,000   | 5,089,780 | 1,120,484   | 3,347,952  | 47,338,654  |
| Equities                                | 211,883    | -         | 315,399    | 1,872,215              | 1,437,417     | -         | 1,999     | 1,568,112 | 11,838,745  | 6,831,044  | 6,907      | 2,643,540  | 2,287,363     | 8,404,934  | 37,113,964 | 2,856,000 | -         | 6,420       | 934,545    | 78,330,487  |
| Investments In Associated Companies     | -          | -         | -          | 4,273,227              | -             | 1,375,925 | 160,000   | -         | -           | -          | -          | -          | -             | 1,825,638  | -          | 12,000    | -         | 6,064,800   | -          | 13,711,590  |
| Long Term Prescribed Assets             | -          | -         | -          | -                      | -             | -         | -         | -         | -           | -          | -          | -          | -             | -          | -          | -         | -         | -           | -          | -           |
| Other Non-Current Assets                | 1,126,971  | -         | 275,502    | -                      | -             | 40,107    | 366,722   | 595,467   | -           | 900,000    | -          | -          | -             | 5,220,959  | -          | 1,000     | -         | -           | 232,728    | 8,759,456   |
|                                         | 5,136,877  | 4,850,003 | 926,248    | 9,565,852              | 1,437,417     | 4,010,885 | 1,572,868 | 3,904,401 | 15,356,269  | 10,923,634 | 1,818,870  | 5,727,761  | 2,859,973     | 21,681,790 | 37,712,631 | 3,858,000 | 5,089,780 | 7,191,704   | 4,515,225  | 148,140,188 |
| Technical Assets                        |            |           |            |                        |               |           |           |           |             |            |            |            |               |            |            |           |           |             |            |             |
| Reinsurers' Share of Outstanding Claims | 10,860,683 | 202,431   | 321,332    | -                      | -             | 568,181   | 59,826    | 585,402   | -           | -          | 499,261    | 139,405    | 278,842       | 8,476,185  | 33,000     | -         | -         | -           | 3,862,782  | 25,887,330  |
| Deferred Acquisition Cost/UCR           | 624,907    | 130,648   | 754,058    | 1,589,805              | -             | 66,195    | 113,980   | 78,211    | -           | 237,716    | 3,253      | 200,961    | 105,916       | 2,370,332  | 973,685    | 54,000    | (1,188)   | 45,806      | 2,333,560  | 9,681,844   |
|                                         | 11,485,590 | 333,079   | 1,075,390  | 1,589,805              | -             | 634,376   | 173,806   | 663,613   | -           | 237,716    | 3,253      | 700,222    | 245,321       | 2,649,174  | 9,449,870  | 87,000    | (1,188)   | 45,806      | 6,196,342  | 35,569,174  |
| Current Assets                          |            |           |            |                        |               |           |           |           |             |            |            |            |               |            |            |           |           |             |            |             |
| Cash & cash equivalents                 | 2,135,463  | 111,902   | 1,303,181  | 10,296,584             | 1,696,960     | 155,211   | 30,708    | 787,038   | 4,619,576   | 226,509    | 474,276    | 2,315,406  | 2,625,561     | 4,288,166  | 12,765,725 | 129,000   | 400,322   | 120,794     | 5,009,032  | 49,491,414  |
| Money Market Investments                | 1,433,992  | 56,364    | 3,211,462  | -                      | -             | -         | -         | -         | -           | 587,204    | 12,975,000 | -          | 20,000        | -          | 2,400,546  | -         | 20,000    | -           | 2,368,474  | 23,073,042  |
| Current Prescribed Assets               | 914,720    | 121,289   | 1,523,901  | 1,766,298              | -             | 263,853   | 30,000    | 355,000   | 3,618,472   | 921,584    | -          | 1,584,957  | 646           | 2,461,801  | 6,090,292  | -         | 23,250    | 71,263      | 2,460,709  | 22,208,035  |
| Premiums Receivable                     | 9,148,429  | 792,430   | 4,725,722  | 10,832,064             | -             | 1,274,242 | 1,539,495 | 755,120   | 9,656,491   | 926,421    | 578,453    | 4,020,285  | 512,476       | 17,643,480 | 5,691,740  | 48,000    | 18,062    | 1,804,258   | 17,059,322 | 87,026,490  |
| Other Current Assets                    | 3,601,670  | 372,600   | 5,084,850  | 509,208                | -             | 403,594   | 1,724,148 | 160,874   | 2,845,960   | 779,848    | 411,441    | 346,940    | 119,662       | 4,351,805  | 6,202,564  | 3,000     | -         | 48,677      | 1,469,909  | 28,436,750  |
|                                         | 17,234,274 | 1,454,585 | 15,849,116 | 23,404,154             | 1,696,960     | 2,096,900 | 3,324,351 | 2,058,032 | 20,740,499  | 3,441,566  | 14,439,170 | 8,267,588  | 3,278,345     | 28,745,252 | 33,150,867 | 180,000   | 461,634   | 2,044,992   | 28,367,446 | 210,235,731 |
|                                         |            |           |            |                        |               |           |           |           |             |            |            |            |               |            |            |           |           |             |            |             |
| TOTAL ASSETS                            | 33,856,741 | 6,637,667 | 17,850,754 | 34,559,811             | 3,134,377     | 6,742,161 | 5,071,024 | 6,626,046 | 36,096,768  | 14,602,916 | 16,261,293 | 14,695,571 | 6,383,639     | 53,076,216 | 80,313,368 | 4,125,000 | 5,550,226 | 9,282,502   | 39,079,013 | 393,945,093 |
|                                         |            |           |            |                        |               |           |           |           |             |            |            |            |               |            |            |           |           |             |            |             |
| LIABILITIES                             |            |           |            |                        |               |           |           |           |             |            |            |            |               |            |            |           |           |             |            |             |
| Deferred Tax Liabilities                | 301,142    | -         | -          | -                      | -             | (60,057)  | 163,030   | -         | 134,849     | -          | -          | 688,724    | -             | 1,130,241  | -          | (51,000)  | -         | (63,700)    | 726,316    | 2,969,545   |
| Long Term loan                          | -          | -         | -          | -                      | -             | -         | 42,297    | -         | -           | -          | -          | -          | -             | -          | -          | -         | -         | -           | 108,196    | 150,493     |
| Current Tax provisions                  | -          | 703,439   | -          | -                      | -             | 477,252   | (143,265) | -         | -           | -          | -          | (453,284)  | -             | 123,328    | -          | 43,000    | -         | -           | 84,891     | 835,361     |
| Gross Outstanding Claims                | 13,181,157 | 443,363   | 1,002,531  | 2,005,761              | 312,879       | 1,811,436 | 681,897   | 975,669   | 1,235,458   | 249,840    | 93,645     | 1,197,814  | 300,324       | 5,973,025  | 16,533,680 | 140,000   | 19,021    | 307,656     | 4,268,582  | 50,733,739  |
| IBNR                                    | 4,221,088  | 67,110    | 254,054    | 315,329                | 174,980       | 160,675   | 350,021   | 129,172   | -           | 353,623    | 44,973     | 567,158    | 38,528        | 254,231    | 2,531,316  | 14,000    | 58,517    | 438,870     | 719,964    | 10,693,608  |
| UPR                                     | 3,124,534  | 799,170   | 5,455,438  | 2,021,625              | 1,411,579     | 330,974   | 2,007,729 | 284,402   | 383,049     | 1,172,267  | 689,255    | 1,858,040  | 397,779       | 11,764,741 | 11,656,646 | 290,000   | (23,766)  | 458,072     | 5,619,491  | 49,701,025  |
| Reinsurance Creditors                   | 4,532,430  | 57,233    | 1,917,530  | 11,768,990             | 232,452       | 945,953   | 154,453   | 944,806   | -           | 1,468,419  | 14,941     | 3,190,056  | 276,271       | 11,722,098 | -          | 46,000    | 193,082   | 504,767     | 9,854,893  | 47,824,374  |
| Other Liabilities                       | -          | 239,836   | 1,311,022  | 2,111,724              | -             | 632,251   | 63,452    | 126,783   | 2,911,419   | 422,580    | 188,659    | 1,246,322  | 330,433       | 2,752,710  | 1,323,205  | 102,000   | 275,558   | 1,545,507   | 1,062,902  | 16,646,363  |
|                                         |            |           |            |                        |               |           |           |           |             |            |            |            |               |            |            |           |           |             |            |             |
| TOTAL LIABILITIES                       | 25,360,351 | 2,310,151 | 9,940,575  | 18,223,429             | 2,131,890     | 4,298,484 | 3,319,614 | 2,460,832 | 4,664,775   | 3,666,729  | 1,031,473  | 8,294,830  | 1,343,335     | 33,720,374 | 32,044,847 | 584,000   | 522,412   | 3,191,172   | 22,445,235 | 179,554,507 |
|                                         |            |           |            |                        |               |           |           |           |             |            |            |            |               |            |            |           |           |             |            |             |
| SHAREHOLDERS' EQUITY                    |            |           |            |                        |               |           |           |           |             |            |            |            |               |            |            |           |           |             |            |             |
| Share Capital                           | 300,986    | 30,350    | 78,117     | 3,924,134              | -             | 381,501   | 1,494,922 | 10,774    | 100         | 2,350,000  | 1,500,000  | 1,000      | 4,369,122     | 2,974,862  | 300,000    | 230,000   | 1,699,799 | 100,000     | 2,500,000  | 22,245,667  |
| Share Premium                           | -          | 1,090,179 | 1,479,090  | -                      | -             | -         | -         | 2,815,768 | 37,299,900  | -          | 13,387,723 | 2,799,500  | 1,500,000     | 11,352,625 | -          | 603,000   | -         | 2,152,434   | 52,509     | 74,532,728  |
| Revaluation & Other Reserves            | 1,140,634  | 303,650   | -          | 7,159,693              | (1,792,009)   | 273,267   | 450,281   | 1,967,475 | -           | 2,075,043  | 852,186    | 493,032    | 204,558       | 1,134,418  | 2,666,507  | 138,000   | 1,338,935 | 105,000     | 1,792,030  | 20,302,700  |
| Retained Profit                         | 7,054,770  | 2,903,337 | 6,352,972  | 5,252,555              | 2,794,496     | 1,788,909 | (193,793) | (628,803) | (5,868,007) | 6,511,144  | (510,089)  | 3,107,209  | (1,033,376)   | 3,893,937  | 45,302,014 | 2,570,000 | 1,989,080 | 3,733,896   | 12,289,239 | 97,309,490  |
|                                         |            |           |            |                        |               |           |           |           |             |            |            |            |               |            |            |           |           | 3,547,227   |            |             |
| Shareholders's Equity                   | 8,496,390  | 4,327,516 | 7,910,179  | 16,336,382             | 1,002,487     | 2,443,677 | 1,751,410 | 4,165,214 | 31,431,993  | 10,936,187 | 15,229,820 | 6,400,741  | 5,040,304     | 19,355,842 | 48,268,521 | 3,541,000 | 5,027,814 | 6,091,330   | 16,633,778 | 214,390,585 |
|                                         |            |           |            |                        |               |           |           |           |             |            |            |            |               |            |            |           |           |             |            |             |
| TOTAL EQUITY & LIABILITIES              | 33,856,741 | 6,637,667 | 17,850,754 | 34,559,811             | 3,134,377     | 6,742,161 | 5,071,024 | 6,626,046 | 36,096,768  | 14,602,916 | 16,261,293 | 14,695,571 | 6,383,639     | 53,076,216 | 80,313,368 | 4,125,000 | 5,550,226 | 9,282,502   | 39,079,013 | 393,945,093 |



## Appendix 1C – Key Performance Indicators (KPIs) for Non-Life Insurers as at 31 March 2019

|                                             | Alliance | Allied  | CBZ     | Cell     |               | Champions | Clarion | Credsre  | Econet   | Evolution | ECGC     | FBC     | Hamilton | Nicoz Diamond | Old Mutual | Quality  | Safel     | Sanctuary | Zimnat Lion | Total/ Average |
|---------------------------------------------|----------|---------|---------|----------|---------------|-----------|---------|----------|----------|-----------|----------|---------|----------|---------------|------------|----------|-----------|-----------|-------------|----------------|
|                                             |          |         |         | Promoter | Cell Business |           |         |          |          |           |          |         |          |               |            |          |           |           |             |                |
| <b>Capital Adequacy</b>                     |          |         |         |          |               |           |         |          |          |           |          |         |          |               |            |          |           |           |             |                |
| Capital Position (\$000)                    | 8,496    | 4,328   | 7,910   | 16,336   | 1,002         | 2,444     | 1,751   | 4,165    | 31,432   | 10,936    | 15,230   | 6,401   | 5,040    | 19,356        | 48,269     | 3,541    | 5,028     | 6,091     | 16,634      | 11,911         |
| Capital Maintenance Ratio (CMR)             | 248.31%  | 288.50% | 527.35% | 1089.09% | 66.83%        | 108.25%   | 116.76% | 277.68%  | 2095.47% | 729.08%   | 1015.32% | 306.78% | 336.02%  | 400.19%       | 674.47%    | 236.07%  | 335.19%   | 406.09%   | 481.43%     | 723.01%        |
| Equity/Total Assets Ratio                   | 25.10%   | 65.20%  | 44.31%  | 47.27%   | 31.98%        | 36.24%    | 34.54%  | 62.86%   | 87.08%   | 74.89%    | 93.66%   | 43.56%  | 78.96%   | 36.47%        | 60.10%     | 85.84%   | 90.59%    | 65.62%    | 42.56%      | 54.42%         |
| Solvency Margin                             | 62.08%   | 395.54% | 143.78% | 475.28%  | 27.71%        | 27.06%    | 55.72%  | 319.55%  | 1057.99% | 365.64%   | 4077.24% | 76.69%  | 482.70%  | 100.05%       | 168.62%    | 372.82%  | 367.03%   | 284.72%   | 120.36%     | 180.75%        |
| <b>Asset Quality</b>                        |          |         |         |          |               |           |         |          |          |           |          |         |          |               |            |          |           |           |             |                |
| Total Assets (\$000)                        | 33,857   | 6,638   | 17,851  | 34,560   | 3,134         | 6,742     | 5,071   | 6,626    | 36,097   | 14,603    | 16,261   | 14,696  | 6,384    | 53,076        | 80,313     | 4,125    | 5,550     | 9,283     | 39,079      | 393,945        |
| Interest Generating Assets to Total Assets  | 13.87%   | 4.36%   | 35.59%  | 40.32%   | 100.00%       | 6.22%     | 1.24%   | 40.90%   | 55.62%   | 58.66%    | 82.75%   | 44.53%  | 77.28%   | 28.55%        | 72.68%     | 72.36%   | 7.99%     | 2.14%     | 27.57%      | 43.94%         |
| Non-Interest Generating Assets/Total Assets | 86.13%   | 95.64%  | 64.41%  | 47.31%   | 0.00%         | 73.38%    | 95.61%  | 59.10%   | 44.38%   | 41.34%    | 17.25%   | 55.47%  | 22.72%   | 68.01%        | 27.32%     | 27.35%   | 92.01%    | 32.53%    | 72.43%      | 52.58%         |
| Fixed Assets/Total Assets                   | 11.22%   | 73.07%  | 1.88%   | 9.90%    | 0.00%         | 38.49%    | 20.59%  | 26.27%   | 9.74%    | 21.86%    | 11.14%   | 20.99%  | 8.97%    | 11.74%        | 0.75%      | 23.98%   | 91.70%    | 12.07%    | 8.57%       | 12.02%         |
| Prescribed Assets Ratio                     | 4.31%    | 1.92%   | 9.24%   | 5.36%    | 0.00%         | 4.35%     | 0.66%   | 6.61%    | 10.02%   | 6.84%     | 0.00%    | 11.32%  | 0.01%    | 5.45%         | 8.59%      | 0.00%    | 0.42%     | 0.77%     | 7.54%       | 6.35%          |
| Premium Debtors/Gross Premium               | 78.33%   | 94.61%  | 75.20%  | 56.35%   | 0.00%         | 47.07%    | 70.16%  | 77.73%   | 249.09%  | 34.05%    | 64.31%   | 56.22%  | 61.53%   | 64.28%        | 32.37%     | 10.41%   | 1.16%     | 419.72%   | 76.52%      | 66.14%         |
| Premium Debtors/Total Assets                | 27.02%   | 11.94%  | 26.47%  | 31.34%   | 0.00%         | 18.90%    | 30.36%  | 11.40%   | 26.75%   | 6.34%     | 3.56%    | 27.36%  | 8.03%    | 33.24%        | 7.09%      | 1.16%    | 0.33%     | 19.44%    | 43.65%      | 22.09%         |
| <b>Reinsurance</b>                          |          |         |         |          |               |           |         |          |          |           |          |         |          |               |            |          |           |           |             |                |
| Risk Retention Ratio                        | 52.87%   | 74.57%  | 56.41%  | 15.00%   | 100.00%       | 84.79%    | 97.98%  | 40.59%   | 76.64%   | 65.10%    | 41.53%   | 46.83%  | 92.62%   | 48.42%        | 65.32%     | 74.40%   | 87.92%    | 94.04%    | 21.32%      | 46.65%         |
| Reinsurance Creditors/Reinsurance Premium   | 82.34%   | 26.87%  | 70.00%  | 72.03%   | 0.00%         | 229.72%   | 348.69% | 163.71%  | 0.00%    | 154.64%   | 2.84%    | 83.90%  | 449.40%  | 82.79%        | 0.00%      | 38.98%   | 102.55%   | 1971.75%  | 56.18%      | 68.12%         |
| Reinsurers' Share of O/S Claims to O/S      | 82.40%   | 45.66%  | 32.05%  | 0.00%    | 0.00%         | 31.37%    | 8.77%   | 60.00%   | 0.00%    | 0.00%     | 0.00%    | 41.68%  | 46.42%   | 4.67%         | 51.27%     | 23.57%   | 0.00%     | 0.00%     | 90.49%      | 51.03%         |
| Reinsurers Debtors/Reinsurance Creditors    | 239.62%  | 353.70% | 16.76%  | 0.00%    | 0.00%         | 60.06%    | 38.73%  | 61.96%   | 0.00%    | 0.00%     | 0.00%    | 15.65%  | 50.46%   | 2.38%         | 0.00%      | 71.74%   | 0.00%     | 0.00%     | 39.20%      | 54.13%         |
| <b>Actuarial</b>                            |          |         |         |          |               |           |         |          |          |           |          |         |          |               |            |          |           |           |             |                |
| UPR (\$000)                                 | 3,125    | 799     | 5,455   | 2,022    | 1,412         | 331       | 2,008   | 284      | 383      | 1,172     | 689      | 1,858   | 398      | 11,765        | 11,657     | 290      | (24)      | 458       | 5,619       | 49,701         |
| IBNR (\$000)                                | 4,221    | 67      | 254     | 315      | 175           | 161       | 350     | 129      | -        | 354       | 45       | 567     | 39       | 254           | 2,531      | 14       | 59        | 439       | 720         | 10,694         |
| Net Outstanding Claims                      | 2,320    | 241     | 681     | 2,006    | 313           | 1,243     | 622     | 390      | 1,235    | 250       | 94       | 699     | 161      | 5,694         | 8,057      | 107      | 19        | 308       | 406         | 24,846         |
| Liquid Assets/Total Reserves                | 46.39%   | 26.15%  | 94.49%  | 277.77%  | 89.34%        | 24.15%    | 2.04%   | 142.07%  | 508.99%  | 97.72%    | 1624.56% | 124.86% | 443.08%  | 38.11%        | 95.55%     | 31.39%   | 824.91%   | 15.94%    | 145.85%     | 111.18%        |
| Liquid Assets/(Outstanding Claims+IBNR)     | 68.55%   | 94.00%  | 645.66% | 519.71%  | 347.84%       | 29.85%    | 6.25%   | 219.86%  | 666.80%  | 287.56%   | 9702.40% | 308.16% | 1326.77% | 113.48%       | 200.75%    | 106.61%  | 572.07%   | 25.73%    | 873.91%     | 266.66%        |
| Assets/Total Reserves                       | 350.26%  | 599.49% | 279.32% | 795.81%  | 165.02%       | 388.62%   | 170.18% | 824.30%  | 2230.25% | 822.36%   | 1964.23% | 470.45% | 1068.88% | 299.64%       | 361.03%    | 1003.65% | 10321.78% | 770.59%   | 579.36%     | 462.15%        |
| <b>Earnings</b>                             |          |         |         |          |               |           |         |          |          |           |          |         |          |               |            |          |           |           |             |                |
| Profit After Tax (\$000)                    | (14)     | 1,931   | 249     | 7,638    | 875           | 1,052     | 294     | (296)    | (3,345)  | 363       | 339      | (1,099) | 70       | 1,628         | (1,405)    | (327)    | 945       | 187       | 2,162       | 11,246         |
| Return on Equity                            | -0.20%   | 63.41%  | 3.83%   | 73.34%   | 55.84%        | 43.86%    | 17.38%  | -11.49%  | -21.28%  | 5.10%     | 3.79%    | -17.24% | 2.11%    | 10.24%        | -3.96%     | -12.35%  | 26.37%    | 4.82%     | 17.44%      | 7.48%          |
| Return on Assets                            | -0.05%   | 40.69%  | 1.64%   | 30.22%   | 29.01%        | 15.86%    | 6.11%   | -6.14%   | -18.53%  | 3.60%     | 3.41%    | -8.02%  | 1.61%    | 4.04%         | -2.40%     | -10.22%  | 24.38%    | 2.95%     | 7.94%       | 3.89%          |
| Loss Ratio                                  | 78.58%   | 52.56%  | 48.59%  | 43.98%   | 34.92%        | 5.19%     | 3.14%   | 47.54%   | 11.23%   | 35.94%    | 17.74%   | 85.51%  | 35.41%   | 50.02%        | 91.88%     | 11.53%   | -3.68%    | 19.87%    | 26.42%      | 49.55%         |
| Net Commission Ratio                        | 5.08%    | -3.46%  | 8.43%   | -74.14%  | 0.00%         | 3.79%     | 47.41%  | -2.48%   | 10.19%   | 0.99%     | 3.77%    | 9.47%   | 3.43%    | -0.32%        | 4.99%      | 14.70%   | 17.43%    | 17.40%    | -23.22%     | 1.45%          |
| Net Expense Ratio                           | 16.67%   | 59.15%  | 30.20%  | 39.12%   | 14.84%        | 48.01%    | 38.89%  | 79.23%   | 74.13%   | 34.14%    | 68.96%   | 62.79%  | 51.09%   | 36.06%        | 27.60%     | 61.10%   | 22.18%    | 46.85%    | 41.11%      | 36.18%         |
| Combined Ratio                              | 100.33%  | 108.24% | 87.22%  | 8.96%    | 49.76%        | 56.98%    | 89.43%  | 124.29%  | 95.56%   | 71.06%    | 90.47%   | 157.77% | 89.93%   | 85.76%        | 124.47%    | 87.32%   | 35.93%    | 84.12%    | 44.31%      | 87.18%         |
| Underwriting Margin                         | -0.33%   | -8.24%  | 12.78%  | 91.04%   | 50.24%        | 43.02%    | 10.57%  | -24.29%  | 4.44%    | 28.94%    | 9.53%    | -57.77% | 10.07%   | 14.24%        | -24.47%    | 12.68%   | 64.07%    | 15.88%    | 55.69%      | 12.82%         |
| Investment Income/NPW Ratio                 | 0.37%    | 402.83% | -0.62%  | -0.21%   | -0.01%        | 0.08%     | 0.00%   | -100.01% | -149.80% | 0.20%     | 35.14%   | -3.64%  | 0.00%    | 6.89%         | -27.07%    | -107.87% | 4.23%     | 0.00%     | 0.25%       | -7.84%         |
| Investment Income/Total Financial Assets    | 0.47%    | 868.86% | -0.33%  | -0.04%   | 0.00%         | 0.42%     | 0.00%   | -9.22%   | -13.94%  | 0.02%     | 0.97%    | -1.33%  | 0.00%    | 3.89%         | -3.26%     | -6.33%   | 13.08%    | 0.00%     | 0.10%       | -1.91%         |
| <b>Liquidity</b>                            |          |         |         |          |               |           |         |          |          |           |          |         |          |               |            |          |           |           |             |                |
| Working Capital (\$000)                     | 3,360    | (283)   | 8,295   | 8,882    | (435)         | (935)     | 284     | 388      | 18,987   | 435       | 13,600   | 1,919   | 2,511    | 427           | 11,879     | (215)    | 214       | 445       | 13,290      | 83,047         |
| Current ratio                               | 198.07%  | 84.82%  | 175.94% | 137.15%  | 79.60%        | 73.22%    | 108.72% | 145.12%  | 444.62%  | 100.34%   | 1400.17% | 115.04% | 292.68%  | 93.88%        | 180.75%    | 48.46%   | 88.14%    | 65.52%    | 187.09%     | 160.12%        |
| Acid Test ratio                             | 30.93%   | 13.74%  | 62.78%  | 66.19%   | 79.60%        | 11.23%    | 1.89%   | 60.89%   | 176.60%  | 47.33%    | 1303.89% | 50.03%  | 219.80%  | 20.18%        | 90.19%     | 23.41%   | 84.91%    | 6.02%     | 53.25%      | 61.73%         |
| <b>Market Shares</b>                        |          |         |         |          |               |           |         |          |          |           |          |         |          |               |            |          |           |           |             |                |
| Market Share Based on GWP                   | 8.88%    | 0.64%   | 4.78%   | 16.46%   | 1.85%         | 2.06%     | 1.67%   | 0.74%    | 2.95%    | 2.07%     | 0.68%    | 5.43%   | 0.63%    | 20.86%        | 13.36%     | 0.35%    | 1.18%     | 0.33%     | 16.94%      | 100%           |
| Market Share Based on NWP                   | 10.06%   | 1.02%   | 5.78%   | 8.66%    | 3.96%         | 3.74%     | 3.50%   | 0.64%    | 4.84%    | 2.89%     | 0.61%    | 5.45%   | 1.26%    | 21.65%        | 18.71%     | 0.56%    | 2.23%     | 0.66%     | 7.74%       | 100%           |
| Market Share Based on Total Assets          | 8.59%    | 1.68%   | 4.53%   | 9.57%    | 0.80%         | 1.71%     | 1.29%   | 1.68%    | 9.16%    | 3.71%     | 4.13%    | 3.73%   | 1.62%    | 13.47%        | 20.39%     | 1.05%    | 1.41%     | 2.36%     | 9.92%       | 100%           |

## Appendix 2A – Statement of Comprehensive Income for Reinsurers as at 31 March 2019

|                            | Emeritus Reinsurance | FBC Reinsurance | FMRE Property | Grand Reinsurance | Tropical Reinsurance | WAICA Reinsurance | ZB Reinsurance | Zep Reinsurance | Total      |
|----------------------------|----------------------|-----------------|---------------|-------------------|----------------------|-------------------|----------------|-----------------|------------|
| Gross Premium Written      | 6,276,040            | 9,377,193       | 8,077,980     | 16,008,644        | 4,811,881            | 1,234,306         | 7,240,630      | 7,607,622       | 60,634,296 |
| Retrocession Premium       | 511,757              | 650,599         | 4,762,894     | 8,544,614         | 1,458,197            | 542,967           | 934,730        | 4,918,959       | 22,324,717 |
| Net Premium Written        | 5,764,283            | 8,726,595       | 3,315,086     | 7,464,030         | 3,353,684            | 691,339           | 6,305,900      | 2,688,662       | 38,309,579 |
| Increase/(Decrease) in UPR | 1,901,807            | 3,529,476       | (377,622)     | (4,011,284)       | (142,329)            | 169,291           | 1,987,190      | 443,233         | 3,499,762  |
| Net Earned Premium         | 3,862,476            | 5,197,118       | 3,692,708     | 3,452,746         | 3,496,013            | 522,048           | 4,318,710      | 2,245,430       | 26,787,249 |
| Net Incurred Claims        | 926,912              | 1,659,820       | 3,759,109     | 816,840           | 1,539,291            | 101,145           | 539,890        | 481,533         | 9,824,540  |
| Net Commission Incurred    | 898,158              | 941,358         | 735,155       | 433,849           | 876,923              | 37,711            | 1,686,290      | 545,438         | 6,154,882  |
| Technical Result           | 2,037,406            | 2,595,940       | (801,556)     | 2,202,057         | 1,079,799            | 383,192           | 2,092,530      | 1,218,459       | 10,807,827 |
| Operating Expenses         | 936,364              | 697,844         | 1,056,588     | 986,522           | 350,452              | 159,802           | 1,908,630      | 650,567         | 6,746,769  |
| Underwriting Result        | 1,101,042            | 1,898,096       | (1,858,144)   | 1,215,535         | 729,347              | 223,390           | 183,900        | 567,892         | 4,061,058  |
|                            |                      |                 |               |                   |                      |                   |                |                 |            |
| Investment Income          | 95,095               | 93,852          | 52,009        | 68,208            | 23,455               | 86,182            | 98,370         | 179,514         | 696,685    |
| Unrealised Gains/(Losses)  | 1,473,517            | (976,208)       | 1,521,754     | (177,760)         | 21,134               | 13,509,074        | (59,580)       | -               | 15,311,931 |
| Other Income/(Expenses)    | -                    | 7,699           | (728,311)     | -                 | -                    | 3,756             | -              | -               | (716,856)  |
|                            |                      |                 |               |                   |                      |                   |                |                 |            |
| Profit/(Loss) Before Tax   | 2,669,654            | 1,023,439       | (1,012,692)   | 1,105,983         | 773,937              | 13,822,402        | 222,690        | 747,406         | 19,352,819 |
| Taxation                   | 219,963              | 168,864         | 23,016        | 254,143           | 40,873               | -                 | 27,800         | -               | 734,659    |
| Profit/(Loss) After Tax    | 2,449,691            | 854,575         | (1,035,708)   | 851,840           | 733,064              | 13,822,402        | 194,890        | 747,406         | 18,618,160 |
| Dividends                  | -                    | -               | -             | 34,521            | -                    | -                 | -              | -               | 34,521     |
| Retained Income            | 2,449,691            | 854,575         | (1,035,708)   | 817,319           | 733,064              | 13,822,402        | 194,890        | 747,406         | 18,583,639 |

## Appendix 2B – Statement of Financial Position for Reinsurers as at 31 March 2019

|                                                | Emeritus Reinsurance | FBC Reinsurance   | FMRE Property     | Grand Reinsurance | Tropical Reinsurance | WAICA Reinsurance | ZB Reinsurance    | Zep Reinsurance Company | Total              |
|------------------------------------------------|----------------------|-------------------|-------------------|-------------------|----------------------|-------------------|-------------------|-------------------------|--------------------|
| <b>ASSETS</b>                                  |                      |                   |                   |                   |                      |                   |                   |                         |                    |
| <b>Non-Current Assets</b>                      |                      |                   |                   |                   |                      |                   |                   |                         |                    |
| Fixed Assets                                   | 278,100              | 357,827           | 112,650           | 1,150,478         | 706,653              | 2,196,960         | 2,941,510         | 262,187                 | 8,006,365          |
| Equities                                       | 12,307,613           | 9,161,000         | 7,690,347         | 693,165           | 33,532               | 48,898            | 5,766,740         | -                       | 35,701,295         |
| Investments in Associated Companies            | 25,510,313           | 491,139           | -                 | -                 | 1,176,687            | -                 | -                 | -                       | 27,178,139         |
| Long Term Prescribed Assets                    | -                    | -                 | -                 | -                 | -                    | -                 | -                 | -                       | -                  |
| Other Non-Current Assets                       | 2,252,718            | 62,721            | -                 | 653               | 32,621               | 17,275,208        | -                 | -                       | 19,623,921         |
|                                                | <b>40,348,744</b>    | <b>10,072,687</b> | <b>7,802,997</b>  | <b>1,844,296</b>  | <b>1,949,494</b>     | <b>19,521,066</b> | <b>8,708,250</b>  | <b>262,187</b>          | <b>90,509,721</b>  |
| <b>Technical Assets</b>                        |                      |                   |                   |                   |                      |                   |                   |                         |                    |
| Retrocessionaires' Share of Outstanding Claims | 214                  | 6,328,684         | -                 | 5,505,533         | 1,483,244            | 633,395           | -                 | -                       | 13,951,070         |
| Deferred Acquisition Cost                      | 1,906,048            | 1,128,180         | 1,036,653         | 1,401,971         | 219,539              | 25,393            | -                 | 470,899                 | 6,188,683          |
|                                                | <b>1,906,262</b>     | <b>7,456,864</b>  | <b>1,036,653</b>  | <b>6,907,504</b>  | <b>1,702,783</b>     | <b>658,788</b>    | <b>-</b>          | <b>470,899</b>          | <b>20,139,753</b>  |
| <b>Current Assets</b>                          |                      |                   |                   |                   |                      |                   |                   |                         |                    |
| Cash & cash equivalents                        | 4,131,112            | 9,452,378         | 8,903,299         | 10,084,933        | 470,499              | 25,465            | 5,105,250         | 462,584                 | 38,635,520         |
| Money Market Investments                       | 1,851,444            | -                 | -                 | -                 | 1,511,879            | -                 | -                 | -                       | 3,363,323          |
| Current Prescribed Assets                      | 3,184,058            | 404,164           | 671,979           | 1,901,445         | 649,169              | -                 | 2,783,330         | 10,132,940              | 19,727,085         |
| Premium Receivables                            | 6,696,424            | 5,534,480         | 11,910,563        | 9,288,998         | 1,883,467            | 1,372,462         | 5,235,300         | 6,403,840               | 48,325,534         |
| Other Current Assets                           | 6,612,994            | (308,759)         | 1,566,237         | 43,353            | 3,382,534            | 135,846           | 113,420           | (4,615,654)             | 6,929,971          |
|                                                | <b>22,476,032</b>    | <b>15,082,263</b> | <b>23,052,078</b> | <b>21,318,729</b> | <b>7,897,547</b>     | <b>1,533,773</b>  | <b>13,237,300</b> | <b>12,383,710</b>       | <b>116,981,432</b> |
| <b>TOTAL ASSETS</b>                            | <b>64,731,038</b>    | <b>32,611,814</b> | <b>31,891,728</b> | <b>30,070,529</b> | <b>11,549,824</b>    | <b>21,713,627</b> | <b>21,945,550</b> | <b>13,116,796</b>       | <b>227,630,905</b> |
| <b>LIABILITIES</b>                             |                      |                   |                   |                   |                      |                   |                   |                         |                    |
| Deferred Tax Liabilities                       | -                    | (451,974)         | (376,067)         | 672,954           | 205,094              | -                 | 639,440           | -                       | 689,447            |
| Long Term Loan                                 | -                    | -                 | -                 | -                 | -                    | -                 | -                 | -                       | -                  |
| Current Tax provisions                         | 43,234               | (143,427)         | -                 | 298,007           | -                    | -                 | 66,090            | -                       | 263,904            |
| Gross Outstanding Claims                       | 2,106,248            | 7,454,945         | 6,554,471         | 7,948,908         | 3,385,800            | 1,226,954         | -                 | 4,110,079               | 32,787,405         |
| IBNR                                           | 1,322,715            | 1,266,286         | 1,507,205         | 258,912           | 1,020,202            | 62,222            | 814,740           | -                       | 6,252,282          |
| UPR                                            | 5,082,795            | 4,185,032         | 3,886,563         | 5,640,922         | 1,097,686            | 231,792           | 3,285,650         | 1,388,714               | 24,799,153         |
| Retrocession Creditors                         | 8,028,526            | 3,225,340         | 11,877,378        | 3,938,861         | 1,114,366            | 892,561           | -                 | -                       | 29,077,032         |
| Other Creditors                                | 7,795,719            | 613,721           | 3,225,027         | 146,271           | 136,180              | 316,953           | 1,788,600         | -                       | 14,022,471         |
|                                                | <b>24,379,236</b>    | <b>16,149,922</b> | <b>26,674,577</b> | <b>18,904,835</b> | <b>6,959,328</b>     | <b>2,730,482</b>  | <b>6,594,520</b>  | <b>5,498,793</b>        | <b>107,891,694</b> |
| <b>SHAREHOLDERS' EQUITY</b>                    |                      |                   |                   |                   |                      |                   |                   |                         |                    |
| Share Capital                                  | 568,000              | 800,000           | 708               | 600,000           | 55                   | 10,200            | 5,000             | -                       | 1,983,963          |
| Share Premium                                  | 32,258,182           | 4,803,332         | 4,065,038         | 5,187,659         | 409,944              | 6,101,018         | 2,495,000         | -                       | 55,320,173         |
| Revaluation & Other Reserves                   | 9,863,794            | 69,898            | -                 | 14,525            | -                    | 26,133            | 3,223,540         | -                       | 13,197,890         |
| Retained Profit                                | (2,338,175)          | 10,788,661        | 1,151,405         | 5,363,510         | 4,180,495            | 12,845,794        | 9,627,490         | 7,618,002               | 49,237,182         |
| <b>Shareholders's Equity</b>                   | <b>40,351,801</b>    | <b>16,461,891</b> | <b>5,217,151</b>  | <b>11,165,694</b> | <b>4,590,495</b>     | <b>18,983,145</b> | <b>15,351,030</b> | <b>7,618,002</b>        | <b>119,739,209</b> |
| <b>TOTAL EQUITY &amp; LIABILITIES</b>          | <b>64,731,038</b>    | <b>32,611,814</b> | <b>31,891,728</b> | <b>30,070,529</b> | <b>11,549,823</b>    | <b>21,713,627</b> | <b>21,945,550</b> | <b>13,116,795</b>       | <b>227,630,903</b> |

## Appendix 2C – Key Performance Indicators for Reinsurers as at 31 March 2019

|                                               | Emeritus<br>Reinsurance | FBC<br>Reinsurance | FMRE<br>Property | Grand<br>Reinsurance | Tropical<br>Reinsurance | WAICA<br>Reinsurance | ZB<br>Reinsurance | Zep<br>Reinsurance | Total/<br>Average |
|-----------------------------------------------|-------------------------|--------------------|------------------|----------------------|-------------------------|----------------------|-------------------|--------------------|-------------------|
| <b>Key Performance Indicator</b>              |                         |                    |                  |                      |                         |                      |                   |                    |                   |
| <b>Capital Adequacy</b>                       |                         |                    |                  |                      |                         |                      |                   |                    |                   |
| Capital Position (\$ 000)                     | 40,352                  | 16,462             | 5,217            | 11,166               | 4,590                   | 18,983               | 15,351            | 7,618              | 14,967            |
| Capital Maintenance Ratio (CMR)               | 2253.27%                | 754.56%            | 187.54%          | 323.10%              | 276.88%                 | 851.90%              | 441.60%           | 359.77%            | 669.62%           |
| Equity/Total Assets Ratio                     | 62.34%                  | 50.48%             | 16.36%           | 37.13%               | 39.75%                  | 87.43%               | 69.95%            | 58.08%             | 52.60%            |
| Solvency Margin                               | 563.32%                 | 188.64%            | 46.88%           | 80.78%               | 69.22%                  | 212.97%              | 110.40%           | 89.94%             | 167.41%           |
| <b>ifgifi</b>                                 |                         |                    |                  |                      |                         |                      |                   |                    |                   |
| Total Assets (\$ 000)                         | 64,731                  | 32,612             | 31,892           | 30,071               | 11,550                  | 21,714               | 21,946            | 13,117             | 227,631           |
| Investments to Assets                         | 33.17%                  | 58.31%             | 54.14%           | 42.17%               | 23.07%                  | 0.34%                | 62.22%            | 80.78%             | 54.74%            |
| Non-Interest Generating Assets/Total Assets   | 23.94%                  | 39.99%             | 45.86%           | 57.83%               | 66.46%                  | 20.10%               | 37.78%            | 19.22%             | 36.64%            |
| Fixed Assets/Total Assets                     | 0.43%                   | 1.10%              | 0.35%            | 3.83%                | 6.12%                   | 10.12%               | 13.40%            | 2.00%              | 3.52%             |
| Prescribed Assets Ratio                       | 5.26%                   | 1.61%              | 2.18%            | 8.21%                | 6.61%                   | 0.00%                | 12.68%            | 80.13%             | 10.50%            |
| Premium Debtors/Gross Premium                 | 106.70%                 | 59.02%             | 147.44%          | 58.02%               | 39.14%                  | 111.19%              | 72.30%            | 84.18%             | 79.70%            |
| Premium Debtors/Total Assets                  | 10.34%                  | 16.97%             | 37.35%           | 30.89%               | 16.31%                  | 6.32%                | 23.86%            | 48.82%             | 21.23%            |
| <b>Retrocession</b>                           |                         |                    |                  |                      |                         |                      |                   |                    |                   |
| Risk Retention Ratio                          | 91.85%                  | 93.06%             | 41.04%           | 46.62%               | 69.70%                  | 56.01%               | 87.09%            | 35.34%             | 63.18%            |
| Retrocession Creditors/Retrocession Premium   | 1568.82%                | 495.75%            | 249.37%          | 46.10%               | 76.42%                  | 164.39%              | 0.00%             | 0.00%              | 130.25%           |
| Retrocessionaires' Share of O/S Claims to O/S | 0.01%                   | 84.89%             | 0.00%            | 69.26%               | 43.81%                  | 51.62%               | 0.00%             | 0.00%              | 42.55%            |
| <b>Actuarial</b>                              |                         |                    |                  |                      |                         |                      |                   |                    |                   |
| UPR                                           | 5,083                   | 4,185              | 3,887            | 5,641                | 1,098                   | 232                  | 3,286             | 1,389              | 24,799            |
| IBNR                                          | 1,323                   | 1,266              | 1,507            | 259                  | 1,020                   | 62                   | 815               | -                  | 6,252             |
| Net Outstanding Claims                        | 2,106                   | 1,126              | 6,554            | 2,443                | 1,903                   | 594                  | -                 | 4,110              | 18,836            |
| Liquid Assets/Total Reserves                  | 107.70%                 | 149.85%            | 80.14%           | 143.67%              | 65.45%                  | 2.87%                | 192.39%           | 192.69%            | 123.73%           |
| Liquid Assets/(Outstanding Claims+IBNR)       | 267.35%                 | 411.97%            | 118.78%          | 443.56%              | 90.04%                  | 3.88%                | 968.23%           | 257.79%            | 246.03%           |
| Total Assets/Total Reserves                   | 760.51%                 | 495.80%            | 266.92%          | 360.42%              | 287.28%                 | 2446.40%             | 535.21%           | 238.54%            | 456.29%           |
| <b>Earnings</b>                               |                         |                    |                  |                      |                         |                      |                   |                    |                   |
| Profit After Tax (000)                        | 2,450                   | 855                | (1,036)          | 852                  | 733                     | 13,822               | 195               | 747                | 18,618            |
| Return on Equity                              | 6.71%                   | 9.93%              | -11.40%          | 8.38%                | 14.54%                  | 118.63%              | 1.54%             | 14.15%             | 18.80%            |
| Return on Assets                              | 4.33%                   | 4.76%              | -3.87%           | 3.68%                | 6.00%                   | 86.95%               | 1.04%             | 6.91%              | 10.23%            |
| Loss Ratio                                    | 24.00%                  | 31.94%             | 101.80%          | 23.66%               | 44.03%                  | 19.37%               | 12.50%            | 21.45%             | 36.68%            |
| Net Commission Ratio                          | 23.25%                  | 18.11%             | 19.91%           | 12.57%               | 25.08%                  | 7.22%                | 39.05%            | 24.29%             | 22.98%            |
| Net Expense Ratio                             | 24.24%                  | 13.43%             | 28.61%           | 28.57%               | 10.02%                  | 30.61%               | 44.19%            | 28.97%             | 25.19%            |
| Combined Ratio                                | 71.49%                  | 63.48%             | 150.32%          | 64.80%               | 79.14%                  | 57.21%               | 95.74%            | 74.71%             | 84.84%            |
| Investment Income/NPW Ratio                   | 27.21%                  | -10.11%            | 47.47%           | -1.47%               | 1.33%                   | 1966.51%             | 0.62%             | 6.68%              | 41.79%            |
| Investment Income/Total Financial Assets      | 7.30%                   | -4.64%             | 9.12%            | -0.86%               | 1.67%                   | 18282.29%            | 0.28%             | 1.69%              | 16.43%            |
| <b>Liquidity</b>                              |                         |                    |                  |                      |                         |                      |                   |                    |                   |
| Working Capital                               | 7,799                   | 7,003              | 639              | 9,468                | 2,777                   | (221)                | 8,431             | 7,356              | 43,252            |
| Current ratio                                 | 100.01%                 | 229.49%            | 90.31%           | 210.65%              | 175.31%                 | 104.55%              | 200.73%           | 233.77%            | 145.97%           |
| Acid Test ratio                               | 37.60%                  | 100.36%            | 35.90%           | 89.46%               | 48.06%                  | 1.21%                | 119.62%           | 192.69%            | 65.71%            |
| Market Share of Total Liquid Assets           | 14.85%                  | 15.97%             | 15.51%           | 19.42%               | 4.26%                   | 0.04%                | 12.78%            | 17.17%             | 100%              |
| <b>Market Shares</b>                          |                         |                    |                  |                      |                         |                      |                   |                    |                   |
| Market Share Based on GPW                     | 10.35%                  | 15.47%             | 13.32%           | 26.40%               | 7.94%                   | 2.04%                | 11.94%            | 12.55%             | 100%              |
| Market Share Based on NPW                     | 15.05%                  | 22.78%             | 8.65%            | 19.48%               | 8.75%                   | 1.80%                | 16.46%            | 7.02%              | 100%              |
| Market Share Based on Total Assets            | 28.44%                  | 14.33%             | 14.01%           | 13.21%               | 5.07%                   | 9.54%                | 9.64%             | 5.76%              | 100%              |

### Appendix 3A – Statement of Comprehensive Income for Insurance Brokers as at 31 March 2019

|                          | Ambassador | Amour   | Auto & | Broksure | Capitol | Care | C32   | Coverlink | Eaton & | Entwide   | First Sun | Eureka | Glenrand | Goldstick | Hostcare | HRIB  | Hunt  | L.A. Guard | Marsh | Minerva - Risk | Momentum | Paul Nikondo | Perpro | Progressive | Rainbow | Revival | SATIB | TIB | WFOR  | Victory | ZIB   | Total  |
|--------------------------|------------|---------|--------|----------|---------|------|-------|-----------|---------|-----------|-----------|--------|----------|-----------|----------|-------|-------|------------|-------|----------------|----------|--------------|--------|-------------|---------|---------|-------|-----|-------|---------|-------|--------|
|                          | Khan       | General |        |          |         |      |       |           | Youngs  | Insurance | Alliance  |        |          |           |          |       | Adams |            |       | Solutions      |          |              |        |             |         |         |       |     |       |         |       |        |
| Premium Written          | 27         | 368     | 563    | 142      | 1,946   | 685  | 4,833 | 55        | 2,386   | 96        | 179       | 725    | 815      | 75        | 3        | 7,506 | 2,727 | 315        | 3,946 | 12,397         | 2,669    | 46           | 207    | 877         | 44      | 0       | 2,465 | 648 | 2,781 | 290     | 3,811 | 53,647 |
| Premium Payable          | 20         | 311     | 494    | 117      | 1,647   | 584  | 4,244 | 45        | 1,996   | 79        | 152       | 594    | 681      | 56        | 3        | 6,289 | 2,417 | 210        | 3,361 | 10,632         | 2,054    | 40           | 188    | 662         | 37      | 0       | 1,957 | 521 | 2,316 | 236     | 3,227 | 45,170 |
| Brokerage Commission     | 6          | 57      | 63     | 24       | 299     | 111  | 589   | 10        | 400     | 17        | 26        | 131    | 134      | 19        | 0        | 1,217 | 310   | 105        | 585   | 1,765          | 615      | 6            | 20     | 216         | 7       | 0       | 507   | 126 | 465   | 55      | 584   | 8,469  |
| Less Commission paid     | 0          | 0       | 16     | 0        | 0       | 0    | 9     | 0         | 99      | 0         | 0         | 0      | 0        | 4         | 0        | 320   | 0     | 0          | 0     | 457            | 0        | 0            | 39     | 2           | 0       | 0       | 0     | 0   | 6     | 0       | 0     | 952    |
| Net Brokerage Commission | 6          | 57      | 47     | 24       | 299     | 111  | 580   | 10        | 301     | 17        | 26        | 131    | 134      | 15        | 0        | 896   | 310   | 105        | 585   | 1,308          | 615      | 6            | -19    | 213         | 7       | 0       | 507   | 126 | 459   | 55      | 584   | 7,518  |
| Other Income             | 5          | 0       | 4      | 0        | 0       | 2    | 1     | 0         | 12      | 0         | 0         | 25     | 0        | 0         | 4        | 8     | 0     | 0          | 2     | 5              | 15       | 3            | 113    | 1           | 0       | 0       | 8     | 20  | 173   | 35      | -15   | 419    |
| Admin Expenses           | 7          | 48      | 57     | 29       | 245     | 101  | 196   | 11        | 311     | 16        | 30        | 176    | 112      | 14        | 4        | 494   | 227   | 97         | 507   | 935            | 344      | 5            | 87     | 246         | 7       | 0       | 497   | 145 | 289   | 75      | 367   | 5,677  |
| Profit Before Tax        | 4          | 9       | -6     | -5       | 54      | 13   | 385   | -1        | 1       | 0         | -3        | -20    | 22       | 1         | 0        | 410   | 83    | 8          | 80    | 377            | 286      | 4            | 7      | -32         | 0       | 0       | 18    | 1   | 343   | 15      | 203   | 2,260  |
| Taxation                 | 1          | 2       | 0      | 0        | 0       | 0    | 100   | 0         | 0       | 0         | -1        | 0      | 0        | 0         | 0        | 106   | 21    | 0          | 16    | 97             | 86       | 0            | 0      | 0           | 0       | 0       | 0     | 0   | 14    | 5       | 52    | 511    |
| Profit after Tax         | 4          | 7       | -7     | -5       | 54      | 13   | 275   | -1        | 1       | 0         | -3        | -20    | 22       | 1         | 0        | 305   | 62    | 8          | 64    | 280            | 200      | 4            | 7      | -32         | 0       | 0       | 18    | 1   | 328   | 11      | 151   | 1,749  |

\*figures are in "000"

# Appendix 3B – Statement of Financial Position for Insurance Brokers as at 31 March 2019

|                            | Ambassador | Amour Khan | Auto & General | Brookvale | Capital | Core | CRL   | Covellink | Eaton & Youngs | Eureka | Entwide | First Sun Allman Glen | Goldfield | Hostcase | HRB | Hunt Adams | LA Guard | Marsh | Minerva-Risk Solutions | Momentum | Paul Miron | Pepro  | Progressive | Rainbow | Revival | SATB | TIB   | WFOR | Victory | ZIB | Total |        |
|----------------------------|------------|------------|----------------|-----------|---------|------|-------|-----------|----------------|--------|---------|-----------------------|-----------|----------|-----|------------|----------|-------|------------------------|----------|------------|--------|-------------|---------|---------|------|-------|------|---------|-----|-------|--------|
| Shareholder's Equity       |            |            |                |           |         |      |       |           |                |        |         |                       |           |          |     |            |          |       |                        |          |            |        |             |         |         |      |       |      |         |     |       |        |
| Share Capital              | 100        | 32         | 310            | 20        | 116     | 98   | 0     | 30        | 100            | 50     | 100     | 0                     | 50        | 0        | 5   | 0          | 1        | 100   | 5                      | 0        | 100        | 20     | 40          | 120     | 15      | 2    | 1     | 50   | 2       | 0   | 50    | 1,517  |
| Share Premium              | -          | -          | 54             | 68        | -       | 79   | 1,345 | 147       | -              | -      | -       | 420                   | -         | -        | -   | -          | 275      | -     | -                      | 2,116    | -          | 126    | -           | -       | -       | -    | 136   | -    | 803     | 623 | -     | 6,201  |
| Non-Distributable Reserves | -          | 100        | 27             | 12        | 14      | 75   | -     | -         | 82             | 57     | 18      | -                     | 58        | 244      | 236 | 68         | 262      | 33    | 412                    | -        | 325        | 18     | 20          | 130     | -       | 382  | -     | 27   | 91      | -   | 25    | 2,725  |
| Retained Income            | 3          | 21         | 0              | (5)       | 507     | 67   | (293) | (102)     | 513            | 88     | 0       | (53)                  | 235       | 1        | 3   | 843        | 70       | 151   | 797                    | 419      | 282        | 4      | 183         | 145     | 0       | -    | 436   | 173  | (232)   | 11  | 320   | 4,675  |
| Shareholder's Equity       | 103        | 153        | 382            | 86        | 717     | 318  | 1,052 | 75        | 685            | 194    | 118     | 375                   | 343       | 244      | 244 | 911        | 608      | 284   | 1,214                  | 2,335    | 707        | 168    | 253         | 386     | 15      | 384  | 573   | 250  | 664     | 634 | 384   | 15,118 |
| Current Liabilities        |            |            |                |           |         |      |       |           |                |        |         |                       |           |          |     |            |          |       |                        |          |            |        |             |         |         |      |       |      |         |     |       |        |
| Payable Premiums           | 20         | 62         | -              | 90        | 389     | 75   | 104   | -         | 228            | 206    | 11      | 26                    | 125       | 58       | -   | 2,407      | 328      | 294   | 408                    | 4,356    | 590        | 39     | 63          | 1,156   | -       | -    | 1,343 | 113  | 4,000   | 22  | 501   | 17,183 |
| Other Liabilities          | 18         | -          | 16             | -         | 31      | 3    | 103   | 23        | 52             | 1,052  | 2       | 2                     | -         | 47       | -   | -          | -        | 18    | 912                    | -        | 69         | 21     | 2           | 200     | -       | 10   | 643   | 290  | 193     | -   | 77    | 3,864  |
| Brokers commission payable | -          | -          | -              | -         | -       | -    | -     | -         | -              | -      | -       | -                     | -         | -        | -   | 149        | -        | -     | -                      | -        | -          | -      | -           | -       | -       | -    | -     | -    | -       | -   | -     | -      |
| Provisions                 | -          | -          | -              | -         | 21      | -    | 33    | -         | -              | 12     | -       | -                     | 11        | -        | -   | 107        | -        | -     | -                      | 178      | -          | -      | -           | -       | -       | -    | -     | 7    | -       | -   | -     | 368    |
| Sundry creditors           | -          | -          | -              | -         | -       | -    | -     | -         | -              | -      | -       | -                     | 10        | -        | -   | 4          | 34       | -     | -                      | -        | -          | -      | -           | -       | -       | -    | -     | -    | -       | -   | -     | 48     |
| Taxation                   | 1          | -          | -              | -         | 15      | -    | -     | -         | 9              | 8      | -       | -                     | -         | -        | -   | 100        | -        | -     | -                      | -        | -          | -      | -           | -       | -       | -    | -     | 7    | -       | -   | 46    | 53     |
| Other                      | -          | -          | -              | -         | -       | -    | -     | -         | -              | -      | -       | -                     | 75        | -        | -   | -          | -        | -     | -                      | -        | -          | -      | -           | -       | -       | -    | -     | -    | -       | -   | 91    | 167    |
| Total Current Liabilities  | 39         | 62         | 16             | 98        | 456     | 79   | 240   | 23        | 289            | 1,278  | 13      | 28                    | 221       | 105      | -   | 2,847      | 362      | 313   | 1,320                  | 4,534    | 659        | 60     | 65          | 1,435   | -       | 10   | 1,986 | 417  |         | 22  | 736   | 21,964 |
| TOTAL LIABILITIES & EQUITY | 142        | 215        | 408            | 194       | 1,173   | 400  | 1,292 | 97        | 983            | 1,472  | 131     | 403                   | 570       | 349      | 246 | 3,918      | 1,109    | 631   | 2,534                  | 7,069    | 1,466      | 228    | 327         | 2,293   | 426     | 404  | 2,837 | 667  | 4,877   | 656 | 1,296 | 38,812 |
| Non - Current Assets       |            |            |                |           |         |      |       |           |                |        |         |                       |           |          |     |            |          |       |                        |          |            |        |             |         |         |      |       |      |         |     |       |        |
| Property and Equipment     | -          | 61         | 75             | -         | -       | 1    | 31    | -         | -              | -      | -       | -                     | -         | -        | 1   | 41         | -        | -     | -                      | -        | 8          | 88     | -           | 1       | -       | -    | 29    | 3    | -       | 18  | -     | 269    |
| Land & Buildings           | 75         | -          | 140            | -         | 283     | 198  | -     | 77        | 204            | 47     | 8       | 140                   | 139       | 332      | 230 | 480        | -        | 195   | 150                    | -        | -          | 12     | -           | 180     | 400     | 170  | 121   | -    | -       | 91  | 254   | 4,001  |
| Furniture and Fittings     | 11         | 27         | 21             | 14        | 9       | 10   | 46    | 1         | -              | 3      | 2       | 16                    | 14        | 13       | 12  | 19         | 1        | 17    | 20                     | 807      | 21         | 3      | 30          | 14      | 6       | 39   | -     | 6    | 16      | 21  | 10    | 1,238  |
| Motor Vehicles             | 11         | 28         | 66             | 20        | 14      | -    | 75    | 4         | -              | 3      | 18      | 5                     | 6         | 4        | -   | 251        | 11       | 13    | 60                     | 53       | 123        | 3      | 143         | 59      | 15      | 130  | 6     | 64   | 91      | 106 | 27    | 1,408  |
| Computer Equipment         | 4          | 5          | 9              | 15        | 4       | 5    | 19    | -         | 5              | 10     | 1       | 7                     | 8         | -        | -   | 63         | 4        | 26    | 14                     | 89       | 14         | -      | 17          | 5       | 5       | 20   | 28    | 10   | 17      | 25  | 28    | 459    |
| Computer Software          | 1          | 3          | 1              | 0         | -       | -    | 8     | -         | -              | -      | 1       | 5                     | 21        | -        | -   | -          | -        | -     | 0                      | -        | -          | 63     | -           | 1       | -       | 25   | -     | -    | -       | 25  | -     | 91     |
| Investments                | -          | -          | 31             | 27        | 142     | 2    | -     | -         | 216            | 40     | 100     | 188                   | -         | -        | -   | -          | -        | 38    | -                      | -        | 338        | 89,571 | -           | 55      | -       | -    | -     | -    | -       | 231 | 137   | 1,616  |
| Other                      | -          | -          | -              | -         | -       | -    | -     | -         | -              | 19     | -       | -                     | -         | -        | -   | 18         | -        | -     | -                      | -        | -          | -      | 7           | -       | -       | -    | 335   | -    | -       | 100 | -     | 479    |
| Total Non-Current Assets   | 102        | 124        | 343            | 77        | 452     | 216  | 178   | 83        | 425            | 129    | 130     | 360                   | 189       | 349      | 244 | 874        | 16       | 289   | 244                    | 949      | 905        | 168    | 197         | 315     | 426     | 384  | 519   | 83   | 124     | 616 | 455   | 9,561  |
| Current Assets             |            |            |                |           |         |      |       |           |                |        |         |                       |           |          |     |            |          |       |                        |          |            |        |             |         |         |      |       |      |         |     |       |        |
| Commission Receivable      | 6          | 57         | 13             | -         | 6       | 43   | 183   | -         | 195            | -      | 1       | 7                     | -         | -        | 0   | 2,749      | -        | -     | 238                    | -        | 483        | -      | -           | 1,137   | -       | -    | -     | 74   | 3,134   | 10  | 332   | 8,680  |
| Premium Receivables        | -          | -          | -              | -         | -       | -    | -     | -         | -              | -      | -       | -                     | 160       | -        | -   | -          | -        | -     | 901                    | 1,276    | -          | -      | -           | -       | -       | -    | 1,176 | -    | -       | -   | -     | 3,532  |
| Accrued Investment Income  | -          | -          | 24             | -         | -       | -    | 129   | -         | -              | 905    | 1       | -                     | 60        | -        | -   | -          | 32       | -     | -                      | -        | 238        | -      | -           | -       | -       | -    | -     | -    | -       | 4   | -     | 1,460  |
| Other Debtors & Inventory  | 8          | 11         | 12             | 95        | 138     | 15   | 16    | 5         | 47             | 58     | 1       | 17                    | -         | -        | -   | 68         | 586      | 332   | 255                    | 750      | 35         | 54     | 9           | 836     | -       | -    | 80    | 174  | 37      | 16  | 80    | 3,734  |
| Cash & Cash Equivalents    | 25         | 23         | 18             | 21        | 577     | 126  | 786   | 10        | 317            | 380    | 0       | 19                    | 153       | 0        | 2   | 227        | 475      | 10    | 816                    | 4,095    | 135        | 6      | 121         | 5       | 0       | 20   | 1,062 | 336  | 1,582   | 10  | 429   | 11,786 |
| Total Current Assets       | 39         | 91         | 66             | 117       | 721     | 184  | 1,114 | 15        | 559            | 1,343  | 2       | 43                    | 381       | 0        | 2   | 3,044      | 1,094    | 342   | 2,290                  | 6,120    | 961        | 60     | 130         | 1,978   | 0       | 20   | 2,318 | 584  | 4,754   | 39  | 841   | 29,251 |
| TOTAL ASSETS               | 141        | 215        | 409            | 194       | 1,173   | 400  | 1,292 | 97        | 983            | 1,472  | 131     | 403                   | 570       | 349      | 246 | 3,918      | 1,109    | 631   | 2,534                  | 7,069    | 1,466      | 228    | 327         | 2,293   | 426     | 404  | 2,837 | 667  | 4,877   | 656 | 1,296 | 38,812 |

**Appendix 4A Statement of Comprehensive Income for Reinsurance Brokers as at 31 March 2019**

|                           | Afro - Asian | Capitol Re | Classic Re | Marsh | Minerva Re | Pan African | RBI | Total |
|---------------------------|--------------|------------|------------|-------|------------|-------------|-----|-------|
| Premium Written           | 731          | 2683       | 0          | 3012  | 16452      | 4245        | 142 | 27266 |
| Premium due to Reinsurers | 629          | 2545       | 0          | 2035  | 12501      | 4115        | 138 | 21963 |
| Brokerage Commission      | 102          | 138        | 0          | 977   | 3950       | 130         | 5   | 5302  |
| less Commission paid      | 0            | 0          | 0          | 867   | 3197       | 0           | 0   | 4064  |
| Net Brokerage Commission  | 102          | 138        | 0          | 109   | 754        | 130         | 5   | 1238  |
| Other Income              | (14)         | 0          | 1          | 0     | 2          | 0           | 2   | (10)  |
| Admin Expenses            | 37           | 34         | 0          | 69    | 616        | 141         | 10  | 908   |
| Profit Before Tax         | 51           | 104        | 0          | 40    | 139        | (10)        | (4) | 321   |
| Taxation                  | 0            | 0          | 0          | 10    | 36         | 0           | 1   | 47    |
| Profit/ (Loss) after Tax  | 51           | 104        | 0          | 30    | 103        | (10)        | (5) | 273   |

*\*Figures are in "000"*

#### Appendix 4B – Statement of Financial Position for Reinsurance Brokers as at 31 March 2019

|                                       | Afro-Asian | Capitol Re | Classic Re | Marsh | Minerva Re | Pan African | RBI   | Total  |
|---------------------------------------|------------|------------|------------|-------|------------|-------------|-------|--------|
| <b>LIABILITIES</b>                    |            |            |            |       |            |             |       |        |
| Shareholder's Equity                  |            |            |            |       |            |             |       |        |
| Share Capital                         | 1          | 2          | 10         | 0     | 0          | 1           | 200   | 214    |
| Share Premium                         | 266        | 119        | 90         | 0     | 0          | 70          | 49    | 593    |
| Non-Distributable Reserves            | 64         | 0          | 62         | 0     | 0          | 0           | 100   | 226    |
| Retained Income                       | -72        | 122        | -46        | 166   | 3,369      | 333         | -59   | 3,812  |
| shareholder's Equity                  | 259        | 242        | 116        | 166   | 3,369      | 404         | 290   | 4,845  |
| Current liabilities                   |            |            |            |       |            |             |       |        |
| Payable Premiums                      | 668        | 2,386      | 0          | 3,003 | 27,695     | 974         | 1,222 | 35,948 |
| Brokers commission payable            | 0          | 0          | 0          | 0     | 0          | 0           | 0     | 0      |
| Provisions                            | 0          | 1          | 0          | 0     | 335        | 44          | 0     | 380    |
| Sundry creditors                      | 0          | 0          | 0          | 0     | 0          | 89          | 0     | 89     |
| Taxation                              | 0          | 0          | 0          | 0     | 0          | 0           | 0     | 0      |
| Other                                 | 21         | 15         | 0          | 872   | 0          | 0           | 177   | 1,086  |
| <b>Total Current Liabilities</b>      | 689        | 2,402      | 0          | 3,876 | 28,030     | 1,107       | 1,399 | 37,503 |
| <b>TOTAL LIABILITIES &amp; EQUITY</b> | 950        | 2,645      | 116        | 4,042 | 31,398     | 1,511       | 1,689 | 42,350 |
| Assets                                |            |            |            |       |            |             |       |        |
| Non - Current Assets                  |            |            |            |       |            |             |       |        |
| Property and Equipment                | 0          | 0          | 0          | 0     | 0          | 9           | 0     | 9      |
| Land & Buildings                      | 0          | 0          | 103        | 0     | 0          | 205         | 0     | 308    |
| Furniture and Fittings                | 3          | 0          | 7          | 1     | 10         | 12          | 0     | 32     |
| Motor Vehicles                        | 0          | 9          | 0          | 0     | 0          | 144         | 0     | 153    |
| Computer Equipment                    | 1          | 0          | 1          | 0     | 12         | 12          | 0     | 27     |
| Computer Software                     | 0          | 0          | 0          | 0     | 0          | 0           | 0     | 0      |
| Investments                           | 196        | 81         | 0          | 0     | 0          | 0           | 565   | 842    |
| Other                                 | 0          | 0          | 0          | 0     | 0          | 0           | 0     | 0      |
| <b>Total Non- Current Assets</b>      | 200        | 90         | 110        | 1     | 22         | 383         | 565   | 1,372  |
| Current Assets                        |            |            |            |       |            |             |       |        |
| Commission Receivable                 | 0          | 1          | 0          | 231   | 1,433      | 0           | 0     | 1,664  |
| Premium Receivable                    | 720        | 0          | 0          | 0     | 28,884     | 587         |       |        |
| Accured Investment Income             | 0          | 0          | 0          | 0     | 0          | 0           | 0     | 0      |
| Other Debtors & Inventory             | 0          | 2,388      | 2          | 0     | 61         | 249         | 1,048 | 3,749  |
| Cash & Cash Equivalents               | 29         | 165        | 4          | 3,810 | 998        | 292         | 76    | 5,374  |
| <b>Total Current Assets</b>           | 749        | 2,554      | 6          | 4,041 | 31,376     | 1,128       | 1,124 | 40,978 |
| <b>Total Assets</b>                   | 950        | 2,645      | 116        | 4,042 | 31,398     | 1,511       | 1,689 | 42,350 |



## Appendix 5 – List of registered loss assessors/adjusters as at 31 March 2019

| No. | NAME OF ASSESSOR/ADJUSTOR               |
|-----|-----------------------------------------|
| 1   | Alpha & Omega Risk Management           |
| 2   | Autoplan Risk Management                |
| 3   | AVS Risk Consultants                    |
| 4   | Brilliant Assessors                     |
| 5   | Campbell & Prevost                      |
| 6   | Centurion Insurance and Risk            |
| 7   | Diverse International Risk Mgt          |
| 8   | Fornicle Risk Management                |
| 9   | Golden Gate Risk and Loss Assessors     |
| 10  | Guarantee Risk Management               |
| 11  | Independent Loss Adjusters (Pvt) Ltd    |
| 12  | Keneg Risk & Loss Consultancy           |
| 13  | Lane Risk Management                    |
| 14  | Light to Light Loss Adjusters (Pvt) Ltd |
| 15  | LM Consultancy (Pvt) Ltd                |
| 16  | Lycerine Risk Services International    |
| 17  | Marin Assessors (Pvt) Ltd               |
| 18  | Markar Loss Assessors                   |
| 19  | Mashonaland Risk Management             |
| 20  | Milenium Risk Management                |
| 21  | Mornglows Assessors                     |
| 22  | National Loss Adjusters (Pvt) Limited   |
| 23  | New Generation Loss Adjusters           |
| 24  | On Time Assessors (Pvt) Ltd             |
| 25  | Persam Loss Assessors                   |
| 26  | Platinum Loss Adjusters (Pvt) Ltd       |
| 27  | Ponnez Risk Management                  |
| 28  | Prefered Loss Assessors                 |
| 29  | Skilled Claim Assessors (Pvt) Limited   |
| 30  | Smart Risk Management                   |
| 31  | Tripple T Mand Loss Adjusters           |
| 32  | Tritate Risk Management Consultant      |
| 33  | Vision Insurance Assessors              |
| 34  | Wave Risk Management                    |
| 35  | Prestige Loss Adjustors (Pvt)           |
| 36  | Lagoon Loss Assessors                   |

